

**HIGHLY CONFIDENTIAL**

**AMENDED AND RESTATED  
AGREEMENT OF LIMITED PARTNERSHIP**

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**ENCAP ENERGY CAPITAL FUND XII-B, L.P.  
A FEEDER FUND OF ENCAP ENERGY CAPITAL FUND XII, L.P.**

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**Dated as of May 17, 2023**

4887-0198-8448

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THE LIMITED PARTNERSHIP INTERESTS IN ENCAP ENERGY CAPITAL FUND XII-B, L.P. HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, OR ANY STATE OR FOREIGN SECURITIES LAWS, OR APPROVED OR DISAPPROVED BY THE SECURITIES AND EXCHANGE COMMISSION OR BY ANY STATE OR FOREIGN AUTHORITY. SUCH INTERESTS MAY NOT BE SOLD, ASSIGNED, TRANSFERRED, PLEDGED OR OTHERWISE DISPOSED OF UNLESS SUCH INTERESTS ARE FIRST REGISTERED PURSUANT TO ALL SUCH APPLICABLE LAWS OR UNLESS COUNSEL SATISFACTORY TO ENCAP EQUITY FUND XII GP, L.P. SHALL HAVE RENDERED AN OPINION SATISFACTORY TO ENCAP EQUITY FUND XII GP, L.P. THAT SUCH REGISTRATION IS NOT REQUIRED. THE SALE, ASSIGNMENT, TRANSFER, PLEDGE OR OTHER DISPOSITION OF SUCH INTERESTS IS ALSO RESTRICTED BY ARTICLE X OF THE AMENDED AND RESTATED AGREEMENT OF LIMITED PARTNERSHIP OF ENCAP ENERGY CAPITAL FUND XII-B, L.P.

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**AMENDED AND RESTATED  
AGREEMENT OF LIMITED PARTNERSHIP**

**EnCap Energy Capital Fund XII-B, L.P.**

**THIS AMENDED AND RESTATED AGREEMENT OF LIMITED PARTNERSHIP** (this “**Agreement**”) of EnCap Energy Capital Fund XII-B, L.P., a Delaware limited partnership (the “**Partnership**”), dated as of May 17, 2023, is made by and among EnCap Equity Fund XII GP, L.P., a Delaware limited partnership, as the general partner (the “**General Partner**”), and the Persons listed as the limited partners on the LP Schedule solely of the Partnership (individually, a “**Feeder Limited Partner**” and collectively, the “**Feeder Limited Partners**”).

WHEREAS, the Partnership was formed as a limited partnership on March 14, 2023, by the General Partner and Jason M. DeLorenzo (the “**Initial Limited Partner**”), pursuant to a Certificate of Limited Partnership filed with the Secretary of State of Delaware on March 14, 2023 (as amended from time to time, the “**Certificate**”) and entered into that certain Agreement of Limited Partnership of the Partnership, dated March 14, 2023 (the “**Initial Agreement**”).

**AGREEMENT:**

The General Partner, the Initial Limited Partner and the Feeder Limited Partners desire to continue the Partnership and to amend and restate the Initial Agreement in its entirety as follows:

**ARTICLE I – FORMATION OF PARTNERSHIP**

**Section 1.1 Formation.** The Partnership has previously been formed as a limited partnership pursuant to the Act. The Partnership is hereby continued and the Initial Agreement is hereby amended and restated in its entirety. The rights and obligations of the Feeder Partners with respect to the Partnership shall be determined in accordance with the terms and provisions of this Agreement and, except where the Act provides that such rights and obligations specified in the Act shall apply “unless otherwise provided in a limited partnership agreement” or words of similar

effect and such rights and obligations are set forth in this Agreement, the Act. The provisions of the Act entitled “Contractual Appraisal Rights” shall not apply or be incorporated into this Agreement.

**Section 1.2 Name.** The name of the Partnership shall be EnCap Energy Capital Fund XII-B, L.P. Subject to all applicable laws, the business of the Partnership shall be conducted in the name of the Partnership unless, under the law of some jurisdiction in which the Partnership does business, such business must be conducted under another name or unless the General Partner determines that it is advisable to conduct Partnership business under another name. In such a case, the business of the Partnership in such jurisdiction or in connection with such determination may be conducted under such other name or names as the General Partner shall determine to be necessary, and in either such event the General Partner shall give prompt written notice to the Feeder Limited Partners of the use of such other name and the facts related thereto. The General Partner shall cause to be filed on behalf of the Partnership such partnership or assumed or fictitious name certificate or certificates or similar instruments as may from time to time be required by law. Upon the termination of the Partnership, all of the Partnership’s right, title and interest in and to the use of the name of the Partnership (and any variation thereof, including any name to which the name of the Partnership may be changed) shall be the property of the General Partner and no Feeder Limited Partner shall have any right or interest in and to the use of any such name.

**Section 1.3 Purpose.** The purpose of the Partnership shall be: (a) to hold, manage and dispose of a direct limited partnership interest in a Blocker Corporation; (b) to hold, manage and dispose of an indirect limited partnership interest in the Main Fund by virtue of its direct interest in a Blocker Corporation; (c) to make Blocker Loans to a Blocker Corporation to fund indirectly all or a portion of certain Main Fund Capital Calls at such times and on such terms as are agreed to by the Partnership and a Blocker Corporation; and (d) to engage in all activities and to enter into, exercise the rights and enjoy the benefits under, and discharge the obligations of the Partnership pursuant to, all contracts, agreements and other instruments which the General Partner shall determine to be necessary or suitable for or incidental to the accomplishment and conduct of the foregoing business.

**Section 1.4 Places of Business; Registered Agent.**

(a) The address of the principal United States office and place of business of the Partnership and its street address shall be 9651 Katy Freeway, Suite 600, Houston, Texas 77024. The General Partner, at any time and from time to time, may change the location of the Partnership’s principal place of business and may establish such additional place or places of business of the Partnership within the continental United States as the General Partner shall determine to be necessary or desirable, and in either such event shall give prompt written notice of such changed or additional place of business to the Feeder Limited Partners.

(b) The registered office of the Partnership in the State of Delaware and the registered agent for service of process on the Partnership shall be as set forth in the Certificate. The General Partner, at any time and from time to time, may change the Partnership’s registered office or registered agent or both by complying with the applicable provisions of the Act, and may establish, appoint and change additional registered offices and registered agents of the Partnership in such other jurisdictions as the General Partner shall determine to be necessary or advisable, and in any

such event shall give prompt written notice of such changed or additional registered offices or agents to the Feeder Limited Partners.

**Section 1.5 Term.** The Partnership commenced upon the date of filing of the Certificate of record with the Secretary of State of the State of Delaware and shall continue until terminated in accordance with Article IX.

**Section 1.6 Title to Partnership Property.** All property owned by the Partnership, whether real or personal, tangible or intangible, shall be owned by the Partnership as an entity, and no Feeder Partner, individually, shall have any ownership of such property.

**Section 1.7 Withdrawal of Initial Limited Partner; Admission of Feeder Limited Partners.** Each Feeder Limited Partner being admitted to the Partnership shall be deemed admitted to the Partnership as a Feeder Limited Partner of the Partnership upon its execution and delivery of its Subscription Agreement and the acceptance thereof by the General Partner and shall be admitted to the Partnership in accordance with Section 10.1. Immediately following the admission of any such Feeder Limited Partner, the Initial Limited Partner shall be deemed to have automatically withdrawn from the Partnership.

**Section 1.8 Main Fund Agreement.** In accordance with Section 5.15 of the Main Fund Agreement, the Main Fund Agreement shall apply to each Feeder Limited Partner as if such Feeder Limited Partner had made a direct commitment to the Main Fund in the amount of its Commitment, unless the context otherwise so requires. To the extent a provision of the Main Fund Agreement applies to any Feeder Limited Partner or the Partnership as provided in this Section 1.8, this Agreement shall be deemed to include such provision (modified as necessary to implement and enforce such provision of the Main Fund with respect to such Feeder Limited Partner and/or the Partnership). References in this Agreement to defined terms that have the meanings assigned to them in the Main Fund Agreement shall be read with the understanding that each Feeder Limited Partner is an indirect investor in the Main Fund through this Partnership and a Blocker Corporation. Each Feeder Limited Partner shall be a third-party beneficiary of the Main Fund Agreement. References in this Agreement to (a) Portfolio Companies or Portfolio Investments shall mean the Portfolio Companies of and Portfolio Investments directly or indirectly by the Main Fund or an Alternative Investment Vehicle, in which the Partnership directly or indirectly invests and (b) any vote, Consent or action taken by the Feeder Limited Partners or a subset thereof shall mean a vote, Consent or action, as applicable, taken by the applicable group of Feeder Limited Partners together with the applicable group of limited partners in the Main Fund or another Feeder Fund.

## **ARTICLE II - DEFINITIONS, REFERENCES AND CONSTRUCTION**

**Section 2.1 Defined Terms.** Capitalized terms used herein but not defined shall have the same meanings as set forth for such terms in the Main Fund Agreement, as updated to apply to the Partnership as applicable. Otherwise, when used in this Agreement, the following terms shall have the respective meanings set forth below:

“**Adjusted Capital Account**” shall mean the Capital Account maintained for each Feeder Partner as provided in Section 7.1(b), (a) increased by any amounts that such Feeder Partner is obligated to restore or is treated as obligated to restore under Treasury Regulations Sections 1.704-

1(b)(2)(ii)(c), 1.704-2(g)(1) and 1.704-2(i)(5), and (b) reduced by the adjustments provided for in Treasury Regulations Sections 1.704-1(b)(2)(ii)(d)(4)-(6) with respect to such Feeder Partner. The foregoing definition of “Adjusted Capital Account” is intended to comply with the provisions of Treasury Regulations Sections 1.704-1(b)(2)(ii)(d) and 1.704-2, and shall be interpreted consistently therewith.

“**Affected Partner**” shall have the meaning assigned to such term in Section 7.1(b)(ii).

“**Agreement**” shall have the meaning assigned to such term in the preamble to this Agreement.

“**Allocation Period**” shall mean the period beginning on the day after the last day of the immediately preceding Allocation Period (or with respect to the first such period, the date of the Initial Agreement) and ending (a) on the last day of each Fiscal Year, (b) the day preceding any day in which an adjustment to the Book Value of the Partnership’s properties pursuant to clause (b)(i), (b)(ii), (b)(iii) or (b)(v) of the definition of “Book Value” occurs, (c) immediately after any day in which an adjustment to the Book Value of the Partnership’s properties pursuant to clause (b)(iv) of the definition of “Book Value” occurs or (d) on any other date determined by the General Partner.

“**BHCA Interest**” shall mean, as of the date of any determination, that portion of the Commitments or Capital Contributions of a BHCA Limited Partner which exceeds 4.99% of Total Feeder Commitments or Capital Contributions, respectively, of the Feeder Limited Partners (other than BHCA Interests and any other Feeder Limited Partner interests that are non-voting) that are not Defaulting Partners. Each BHCA Limited Partner and any Affiliate of such BHCA Limited Partner that itself is a BHCA Limited Partner shall be considered a single BHCA Limited Partner for purposes of determining “BHCA Interest.”

“**BHCA Limited Partner**” shall mean, as of the date of any determination, each Feeder Limited Partner subject to the BHCA that has irrevocably notified the General Partner in writing of such status at any time prior to such determination (other than a Feeder Limited Partner which is investing under Section 4(k) thereof and has delivered a written notice to the Partnership so stating prior to or at the time of its investment) and any transferee of such Feeder Limited Partner but, with respect to such transferee, only to the extent that the portion of its Commitment or Capital Contribution acquired from such Feeder Limited Partner was a BHCA Interest at the time of such acquisition.

“**Bipartisan Budget Act**” shall mean Sections 6221 through 6241 of the Code, together with any final or temporary Treasury Regulations, Revenue Rulings, and case law interpreting Sections 6221 through 6241 of the Code (and any analogous provision of state or local tax law).

“**Blocker Corporation**” shall mean an entity treated as a corporation for U.S. federal income tax purposes and organized directly or indirectly by one or more Feeder Funds, including the Feeder Blocker.

“**Blocker Loans**” shall mean the interest-bearing loans made or to be made by the Partnership to a Blocker Corporation.

**“Book Value”** shall mean, with respect to any property of the Partnership, such property’s adjusted basis for U.S. federal income tax purposes (which, in the case of any Depletable Property, shall be determined pursuant to Treasury Regulations Section 1.613A-3(e)(3)(iii)(C)), except as follows:

(a) The initial Book Value of any property contributed by a Feeder Partner to the Partnership shall be the Market Value of such property as of the date of such contribution;

(b) The Book Values of all properties shall be adjusted to equal their respective Market Values in connection with (i) the acquisition of a Partnership interest (or an additional Partnership interest) by any new or existing Feeder Partner in exchange for more than a de minimis Capital Contribution or in exchange for the performance of more than a de minimis amount of services to or for the benefit of the Partnership, (ii) the distribution by the Partnership to a Feeder Partner of more than a de minimis amount of property as consideration for a Partnership interest, (iii) the liquidation of the Partnership within the meaning of Treasury Regulations Section 1.704-1(b)(2)(ii)(g)(1), (iv) the acquisition of a Partnership interest by any new or existing Feeder Partner upon the exercise of a non-compensatory option in accordance with Treasury Regulations Section 1.704-1(b)(2)(iv)(s), or (v) any other event to the extent determined by the General Partner to be permitted and necessary to properly reflect Book Values in accordance with the standards set forth in Treasury Regulations Section 1.704-1(b)(2)(iv)(q); provided that adjustments pursuant to clauses (i), (ii) and (iv) above shall be made only if the General Partner reasonably determines that such adjustments are necessary or appropriate to reflect the relative economic interests of the Feeder Partners in the Partnership. If any non-compensatory options are outstanding upon the occurrence of an event described in clauses (i) through (v) above, the Partnership shall adjust the Book Values of its properties in accordance with Treasury Regulations Sections 1.704-1(b)(2)(iv)(f)(1) and 1.704-1(b)(2)(iv)(h)(2).

(c) The Book Value of property distributed to a Feeder Partner shall be the Market Value of such property as of the date of such distribution;

(d) The Book Value of all property shall be increased (or decreased) to reflect any adjustments to the adjusted basis of such property pursuant to Code Section 734(b) (including any such adjustments pursuant to Treasury Regulations Section 1.734-2(b)(1)), but only to the extent that such adjustments are taken into account in determining Capital Accounts pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(m) and clause (g) of the definition of Profits or Losses or Section 4.1(b)(viii); provided, however, that the Book Value of property shall not be adjusted pursuant to this clause (d) to the extent that the General Partner reasonably determines an adjustment pursuant to clause (b) is necessary or appropriate in connection with a transaction that would otherwise result in an adjustment pursuant to this clause (d); and

(e) If the Book Value of property has been determined or adjusted pursuant to clause (a), (b) or (d) hereof, such Book Value shall thereafter be adjusted by the Depreciation taken into account with respect to such property for purposes of computing Profits and Losses, Simulated Depletion and other items allocated pursuant to Section 4.1 and Section 4.2.

**“Capital Account”** shall have the meaning assigned to such term in Section 7.1(b).



**“Capital Contribution”** shall mean for any Feeder Partner at the particular time in question, the aggregate of the dollar amounts of any cash contributed by such Feeder Partner to the Partnership, or, if the context in which such term is used so indicates, the dollar amounts of cash agreed to be contributed, or requested to be contributed, by such Feeder Partner to the Partnership (in each case, excluding cash contributed with respect to Operating Costs described in Section 5.6(b)).

**“Capital Interest Percentage”** shall mean, at any time of determination and as to any Feeder Partner, the percentage of the total distributions that would be made to such Feeder Partner if the assets of the Partnership were sold for their respective Book Values, all liabilities of the Partnership were paid in accordance with their terms (limited in the case of non-recourse liabilities to the Book Value of the property securing such liabilities), all items of Partnership Profit, Loss, income, gain, loss and deduction were allocated to the Feeder Partners in accordance with Article IV, and the resulting net proceeds were distributed to the Feeder Partners in accordance with Article IX; provided, however, that the General Partner may determine that the Feeder Partners’ Capital Interest Percentages should be determined based upon a hypothetical sale of the assets of the Partnership for their respective Fair Market Values (instead of Book Values) in order to ensure that such percentages correspond to the Feeder Partners’ “proportionate interests in partnership capital” as defined in Treasury Regulations Section 1.613A-3(e)(2)(ii). The foregoing definition of Capital Interest Percentage is intended to result in a percentage for each Feeder Partner that corresponds with the Feeder Partner’s “proportionate interest in partnership capital” as defined in Treasury Regulations Section 1.613A-3(e)(2)(ii), and Capital Interest Percentage shall be interpreted consistently therewith.

**“Certificate”** shall have the meaning assigned to such term in the recitals to this Agreement.

**“Code”** shall mean the Internal Revenue Code of 1986, as amended from time to time, and any comparable successor statute or statutes.

**“Commitment”** shall mean, when used with reference to a Feeder Limited Partner, the amount set forth opposite such Feeder Limited Partner’s name on the LP Schedule.

**“Covered Audit Adjustment”** shall mean an adjustment to any partnership-related item (within the meaning of Section 6241(2)(B) of the Code), to the extent such adjustment results in an “imputed underpayment” as described in Section 6225(b) of the Code or any analogous provision of state or local law.

**“Covered Person”** shall mean: (a) the General Partner, the Manager and their Affiliates; (b) each of the current and former shareholders, officers, directors, employees, partners, members, managers and agents of any of the General Partner, the Manager or their Affiliates; (c) each person serving, or who has served, as a member of the LPAC (and, with respect to claims or damages arising out of or relating to such service only, the Feeder Limited Partner that such person represents and each of such Feeder Limited Partner’s officers, directors, employees, partners, members, managers, agents and other representatives); (d) the Partnership Representative (solely in such Person’s capacity as Partnership Representative); and (e) any other Person designated by the General Partner as a Covered Person who serves at the request of the General Partner on behalf

of the Partnership as an officer, director, employee, partner, member, manager or agent of any other Person that is an Affiliate of the General Partner or the Partnership.

**“Depletable Property”** shall mean each separate oil and gas property as defined in Code Section 614.

**“Depreciation”** shall mean, for each Allocation Period, an amount equal to the depreciation, amortization or other cost recovery deduction (excluding depletion) allowable for U.S. federal income tax purposes with respect to property for such Allocation Period, except that (a) with respect to any property the Book Value of which differs from its adjusted tax basis for U.S. federal income tax purposes and which difference is being eliminated by use of the “remedial method” pursuant to Treasury Regulations Section 1.704-3(d), Depreciation for such Allocation Period shall be the amount of book basis recovered for such Allocation Period under the rules prescribed by Treasury Regulations Section 1.704-3(d)(2), and (b) with respect to any other property the Book Value of which differs from its adjusted tax basis at the beginning of such Allocation Period, Depreciation shall be an amount which bears the same ratio to such beginning Book Value as the U.S. federal income tax depreciation, amortization, or other cost recovery deduction for such Allocation Period bears to such beginning adjusted tax basis; provided that if the adjusted tax basis of any property at the beginning of such Allocation Period is zero, Depreciation with respect to such property shall be determined with reference to such beginning value using any reasonable method selected by the General Partner.

**“Early Closing Investor Feeder Limited Partners”** shall mean Investor Feeder Limited Partners admitted to the Partnership on, or within 60 days of, the Initial Closing Date.

**“Economic Risk of Loss”** shall have the meaning set forth in Treasury Regulations Section 1.752-2(a).

**“ERISA Partner”** has the meaning assigned to such term in Section 11.1(a).

**“ERISA Withdrawal Date”** has the meaning assigned to such term in Section 11.1(a).

**“FATCA”** shall mean Sections 1471 through 1474 of the Code, any current or future regulations or official interpretations thereof, any agreements entered into pursuant to Section 1471(b)(1) of the Code and any fiscal or regulatory legislation, rules or practices adopted pursuant to any intergovernmental agreements entered into in connection with Sections 1471 through 1474 of the Code.

**“Feeder Blocker”** shall mean EnCap Energy Fund XII Feeder Blocker, L.P., a Delaware limited partnership.

**“Feeder Limited Partners”** shall have the meaning assigned to such term in the recitals to this Agreement, and any Person who becomes an additional or a substituted Feeder Limited Partner pursuant to the terms hereof.

**“Feeder LP Percentage”** shall mean, with respect to any Feeder Limited Partner, a percentage amount equal to A divided by B, where “A” is such Feeder Limited Partner’s Commitment to the Partnership and where “B” is the Total Feeder Commitments.

**“Feeder Partners”** shall mean the General Partner and the Feeder Limited Partners.

**“General Partner”** shall mean EnCap Equity Fund XII GP, L.P., a Delaware limited partnership, and any Person who becomes a substituted General Partner of the Partnership pursuant to the terms hereof.

**“Governmental Plan Partner”** shall have the meaning assigned to such term in Section 11.1(f).

**“Initial Agreement”** shall have the meaning assigned to such term in the recitals to this Agreement.

**“Initial Limited Partner”** shall have the meaning assigned to such term in the recitals to this Agreement.

**“Interest Component”** shall mean the interest component described in clauses (A), (B) and (C) of the first sentence of Section 10.2(a)(iii).

**“Investor Feeder Limited Partner”** shall mean each Feeder Limited Partner that is not a Related Feeder Limited Partner.

**“Investor Feeder LP Percentage”** shall mean, with respect to any Investor Feeder Limited Partner, a percentage amount equal to A divided by B, where “A” is such Investor Feeder Limited Partner’s Commitment to the Partnership and where “B” is the aggregate amount of the Commitments of all Investor Feeder Limited Partners to the Partnership.

**“Investor-Related Taxes”** shall have the meaning assigned to such term in Section 4.5(a)(i).

**“Main Fund”** shall mean EnCap Energy Capital Fund XII, L.P., a Delaware limited partnership.

**“Main Fund Agreement”** shall mean the limited partnership agreement of the Main Fund, as amended or amended and restated from time to time.

**“Minimum Gain”** shall have the meaning assigned to “partnership minimum gain” in Treasury Regulations Sections 1.704-2(b)(2) and 1.704-2(d).

**“Nonrecourse Deduction”** shall have the meaning assigned to that term in Treasury Regulations Section 1.704-2(b)(1).

**“Partner Nonrecourse Debt”** shall have the meaning assigned to that term in Treasury Regulations Section 1.704-2(b)(4).

**“Partner Nonrecourse Debt Minimum Gain”** shall have the meaning assigned to that term in Treasury Regulations Section 1.704-2(i)(2).

**“Partner Nonrecourse Deductions”** shall have the meaning assigned to that term in Treasury Regulations Section 1.704-2(i)(1).

**“Partnership”** shall have the meaning assigned to such term in the preamble to this Agreement.

**“Partnership-Level Taxes”** shall mean any federal, state, or local taxes, additions to tax, penalties, and interest payable by the Partnership or any subsidiary thereof as a result of any examination of the Partnership’s or any such subsidiary’s affairs by any federal, state, or local tax authorities, including resulting administrative and judicial proceedings under the Bipartisan Budget Act.

**“Partnership Representative”** shall have the meaning assigned to that term in Section 6223(a) of the Code and includes any “designated individual”, if applicable, as defined in the Treasury Regulations promulgated thereunder (including, in each case, any similar capacity or role under relevant state or local law).

**“Plan Partner”** shall mean any Feeder Limited Partner which is (a) an employee benefit plan (as defined in Section 3(3) of ERISA), whether or not it is subject to the provisions of Title I of ERISA, (b) a plan described in Section 4975(e)(1) of the Code, or (c) an entity whose underlying assets include plan assets (within the meaning of Section 3(42) of ERISA and any applicable regulations promulgated thereunder).

**“Profits”** or **“Losses”** shall mean, for each Allocation Period, an amount equal to the Partnership’s taxable income or loss for such period, determined in accordance with Code Section 703(a) (for this purpose, all items of income, gain, loss, or deduction required to be stated separately pursuant to Code Section 703(a)(1) shall be included in taxable income or loss), with the following adjustments (without duplication):

(a) Any income of the Partnership that is exempt from U.S. federal income tax and not otherwise taken into account in computing Profits and Losses pursuant to this definition of “Profits” or “Losses” shall be added to such taxable income or loss;

(b) Any expenditures of the Partnership described in Code Section 705(a)(2)(B) or treated as Code Section 705(a)(2)(B) expenditures pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(i), and not otherwise taken into account in computing Profits or Losses pursuant to this definition of “Profits” or “Losses” shall be subtracted from such taxable income or loss;

(c) In the event the Book Value of any asset is adjusted pursuant to clause (b) or clause (c) of the definition of Book Value, the amount of such adjustment shall be treated as an item of gain (if the adjustment increases the Book Value of the asset) or an item of loss (if the adjustment decreases the Book Value of the asset) from the Disposition of such asset and shall, except to the extent allocated pursuant to Section 4.1(b), be taken into account for purposes of computing Profits or Losses;

(d) Gain or loss resulting from any Disposition of property (other than Depletable Property) with respect to which gain or loss is recognized for U.S. federal income tax purposes

shall be computed by reference to the Book Value of the property Disposed of, notwithstanding that the adjusted tax basis of such property differs from its Book Value;

(e) Gain resulting from any disposition of a Depletable Property with respect to which gain is recognized for U.S. federal income tax purposes shall be treated as being equal to the corresponding Simulated Gain;

(f) In lieu of the depreciation, amortization, and other cost recovery deductions taken into account in computing such taxable income or loss, there shall be taken into account Depreciation;

(g) To the extent an adjustment to the adjusted tax basis of any asset pursuant to Code Section 734(b) is required, pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(m)(4), to be taken into account in determining Capital Account balances as a result of a distribution other than in liquidation of a Feeder Partner's interest in the Partnership, the amount of such adjustment shall be treated as an item of gain (if the adjustment increases the basis of the asset) or an item of loss (if the adjustment decreases such basis) from the Disposition of such asset and shall be taken into account for purposes of computing Profits or Losses; and

(h) any item that is allocated pursuant to Section 4.1(b) shall not be taken into account in computing Profits and Losses, but the amounts of the items of income, gain, loss or deduction available to be specially allocated pursuant to Section 4.1(b) shall be determined by applying rules analogous to those set forth in clauses (a) through (g) above.

**“Related Feeder Limited Partners”** shall mean Feeder Limited Partners that are Affiliates of the General Partner or the Manager (except under the circumstances contemplated by Section 11.4(e) or Section 11.4(g) of the Main Fund Agreement), and each, individually, a **“Related Feeder Limited Partner”**.

**“Simulated Basis”** shall mean the Book Value of any Depletable Property. The Simulated Basis of each Depletable Property shall be allocated to each Feeder Partner in accordance with such Feeder Partner's Capital Interest Percentage as of the time such Depletable Property is acquired by the Partnership (and any additions to such Simulated Basis resulting from expenditures required to be capitalized in such Simulated Basis shall be allocated among the Feeder Partners in a manner designed to cause the Feeder Partners' proportionate shares of such Simulated Basis to be in accordance with their Capital Interest Percentages as determined at the time of any such additions), and shall be reallocated among the Feeder Partners in accordance with the Feeder Partners' Capital Interest Percentages as determined immediately following the occurrence of an event giving rise to an adjustment to the Book Values of the Partnership's Depletable Properties pursuant to clause (b) of the definition of Book Value.

**“Simulated Depletion”** shall mean, with respect to each Depletable Property, a depletion allowance computed in accordance with U.S. federal income tax principles (as if the Simulated Basis of the property were its adjusted tax basis) and in the manner specified in Treasury Regulations Section 1.704-1(b)(2)(iv)(k)(2). For purposes of computing Simulated Depletion with respect to any Depletable Property, the Simulated Basis of such property shall be deemed to be the

Book Value of such property, and in no event shall such allowance, in the aggregate, exceed such Simulated Basis.

**“Simulated Gain”** shall mean the amount of gain realized from the sale or other disposition of Depletable Property as calculated in Treasury Regulations Section 1.704-1(b)(2)(iv)(k)(2).

**“Simulated Loss”** shall mean the amount of loss realized from the sale or other disposition of Depletable Property as calculated in Treasury Regulations Section 1.704-1(b)(2)(iv)(k)(2).

**“Total Feeder Commitments”** shall mean the sum of the Feeder Limited Partners’ Commitments.

**“Treasury Regulations”** shall mean final or temporary regulations promulgated by the United States Treasury Department under the Code.

**“UBTI”** means “unrelated business taxable income” as defined in Sections 512 and 514 of the Code determined without regard to the special rules contained in Section 512(a)(3) of the Code, other than any such income that arises as a result of, or with respect to, any activities of a Feeder Partner unrelated to the activities of the Partnership.

**“Unpaid Commitment”** shall mean, with respect to any Feeder Partner at a given point in time, **A** minus **B**, where “**A**” is equal to such Feeder Partner’s Commitment, and where “**B**” is equal to the aggregate Capital Contributions previously made to the Partnership by such Feeder Partner hereunder, subject to adjustment pursuant to Section 3.3 of the Main Fund Agreement or other applicable provisions of this Agreement or the Main Fund Agreement.

## **Section 2.2    References and Construction.**

(a) All references in this Agreement to articles, sections, subsections and other subdivisions refer to corresponding articles, sections, subsections and other subdivisions of this Agreement unless expressly provided otherwise.

(b) Titles appearing at the beginning of any of such subdivisions are for convenience only and shall not constitute part of such subdivisions and shall be disregarded in construing the language contained in such subdivisions.

(c) The words “this Agreement”, “this instrument”, “herein”, “hereof”, “hereby”, “hereunder” and words of similar import refer to this Agreement as a whole and not to any particular subdivision unless expressly so limited.

(d) Words in the singular form shall be construed to include the plural and vice versa, unless the context otherwise requires. Pronouns in masculine, feminine and neuter genders shall be construed to include any other gender.

(e) Examples shall not be construed to limit, expressly or by implication, the matters they illustrate.

(f) The word “includes” and its derivatives means “includes, but is not limited to” and corresponding derivative expressions.

(g) All references herein to “\$” or “dollars” shall refer to United States Dollars.

### **ARTICLE III - CAPITALIZATION**

#### **Section 3.1 Capital Contributions of Partners.**

(a) Each Feeder Partner agrees to make, from time to time as are necessary, (x) cash Capital Contributions to the Partnership to fund the required capital contributions of the Partnership to the Main Fund in accordance with the terms of this Agreement and the Main Fund Agreement and (y) cash capital contributions to the Partnership in accordance with Section 5.6(b) (which shall not be deemed a Capital Contribution under this Agreement or the Main Fund Agreement); provided, however, that in no event shall any Feeder Partner be required to pay a Capital Contribution in excess of such Feeder Partner’s Unpaid Commitment determined at such time and in accordance with the terms of this Agreement.

(b) Capital Contributions shall only be called by the General Partner and used by the Partnership for the purposes contemplated hereunder.

### **ARTICLE IV - ALLOCATIONS AND DISTRIBUTIONS**

#### **Section 4.1 Allocations for Purposes of Maintaining Capital Accounts.**

(a) After giving effect to the allocations under Section 4.1(b), Profit and Loss (and to the extent determined by the General Partner to be necessary and appropriate to achieve the resulting Capital Account balances described below, any allocable items of gross income, gain, loss and expense includable in the computation of Profit and Loss) for each Allocation Period shall be allocated among the Feeder Partners during such Allocation Period, in such a manner as shall cause the Capital Accounts of the Feeder Partners (as adjusted to reflect all allocations under Section 4.1(b), and all distributions through the end of such Allocation Period) to equal, as nearly as possible, (i) the amount such Feeder Partners would receive if all assets of the Partnership on hand at the end of such Allocation Period were sold for cash equal to their Book Values, all liabilities of the Partnership were satisfied in cash in accordance with their terms (limited in the case of non-recourse liabilities to the Book Value of the property securing such liabilities) and all remaining or resulting cash were distributed to the Feeder Partners under Section 4.3, decreased, in the case of the General Partner, by any amounts the General Partner is obligated to contribute to the Partnership pursuant to Section 9.4 of the Main Fund Agreement and increased, in the case of any Feeder Limited Partner, by any amounts that would be distributed to such Feeder Limited Partner pursuant to Section 9.4 of the Main Fund Agreement if the Partnership were dissolved at such time, (ii) minus such Feeder Partner’s share of Minimum Gain and Partner Nonrecourse Debt Minimum Gain, computed immediately prior to the hypothetical sale of assets, and the amount any such Feeder Partner is treated as obligated to contribute to the Partnership, computed immediately after the hypothetical sale of assets.

Notwithstanding the foregoing, the General Partner may make such allocations as it deems reasonably necessary to give economic effect to the provisions of this Agreement, taking into

account facts and circumstances as the General Partner deems reasonably necessary for this purpose.

(b) Notwithstanding any of the foregoing provisions of this Section 4.1 to the contrary, items of the Partnership's income, gain, loss, and deduction referenced in this Section 4.1(b) for each Allocation Period shall be allocated among the Feeder Partners as follows:

(i) Nonrecourse Deductions shall be allocated to the Feeder Partners as determined by the General Partner, to the extent permitted by the Treasury Regulations.

(ii) If during any Allocation Period there is a net increase in Partner Nonrecourse Debt Minimum Gain attributable to Partner Nonrecourse Debt that gives rise to Partner Nonrecourse Deductions, each Feeder Partner bearing the Economic Risk of Loss for such Partner Nonrecourse Debt shall be allocated such Feeder Partner's share of Partner Nonrecourse Deductions as determined under Treasury Regulations Section 1.704-2(b)(4) (consisting first of cost recovery or depreciation deductions with respect to property that is subject to such Partner Nonrecourse Debt and then, if necessary, a pro rata portion of the Partnership's other items of deductions, Code Section 705(a)(2)(B) expenditures and losses, with any remainder being treated as an increase in Partner Nonrecourse Debt Minimum Gain attributable to Partner Nonrecourse Debt in the subsequent Allocation Period). If more than one Feeder Partner bears the Economic Risk of Loss for such Partner Nonrecourse Debt, the Partner Nonrecourse Deductions attributable to such Partner Nonrecourse Debt shall be allocated among the Feeder Partners according to the ratio in which they bear the Economic Risk of Loss. This Section 4.1(b)(ii) is intended to comply with the provisions of Treasury Regulations Section 1.704-2(i) and shall be interpreted consistently therewith.

(iii) Notwithstanding any other provision hereof to the contrary except Section 4.1(b)(iv) (dealing with Minimum Gain), if for any Allocation Period there is a net decrease in Partner Nonrecourse Debt Minimum Gain (or if there was a net decrease in Partner Nonrecourse Debt Minimum Gain for a prior Allocation Period and the Partnership did not have sufficient amounts of income and gain during prior periods to allocate among the Feeder Partners under this Section 4.1(b)(iii)), items of income and gain shall be allocated to each Feeder Partner in an amount equal to such Feeder Partner's share of the net decrease in Partner Nonrecourse Debt Minimum Gain (as determined pursuant to Treasury Regulations Section 1.704-2(i)(4)). This Section 4.1(b)(iii) is intended to comply with the partner nonrecourse debt minimum gain chargeback requirement in Treasury Regulations Section 1.704-2(i)(4) and shall be interpreted consistently therewith.

(iv) Notwithstanding any provision hereof to the contrary, if for any Allocation Period there is a net decrease in Minimum Gain (or if there was a net decrease in Minimum Gain for a prior Allocation Period and the Partnership did not have sufficient amounts of income and gain during prior periods to allocate among the Feeder Partners under this Section 4.1(b)(iv)), each Feeder Partner shall be allocated items of Partnership income and gain in an amount equal to such Feeder Partner's share of the net decrease in such Minimum Gain (as determined pursuant to Treasury Regulations Section 1.704-2(g)(2)). This



Section 4.1(b)(iv) is intended to comply with the minimum gain chargeback requirement in Treasury Regulations Section 1.704-2(f) and shall be interpreted consistently therewith.

(v) The losses and deductions allocated pursuant to this Section 4.1 shall not exceed the maximum amount of losses and deductions that can be allocated to a Feeder Partner without causing or increasing a deficit balance in the Feeder Partner's Adjusted Capital Account. If, at the end of any Allocation Period, as a result of the allocations otherwise provided for in this Section 4.1, the Adjusted Capital Account balance of any Feeder Partner shall become negative, items of deduction and loss otherwise allocable to such Feeder Partner for such Allocation Period, to the extent such items would have caused such negative balance, shall instead be allocated to Feeder Partners having positive Adjusted Capital Account balances remaining at such time in proportion to such balances.

(vi) Notwithstanding any provision hereof to the contrary except Section 4.1(b)(iii) and Section 4.1(b)(iv), in the event that a Feeder Partner unexpectedly receives any adjustment, allocation or distribution described in Treasury Regulations Section 1.704-1(b)(2)(ii)(d)(4)-(6) that causes or increases a deficit balance in such Feeder Partner's Adjusted Capital Account, items of Partnership income and gain (consisting of a pro rata portion of each item of income, including gross income, and gain for the Allocation Period) shall be allocated to that Feeder Partner in an amount and manner sufficient to eliminate the deficit balance as quickly as possible; provided that, an allocation pursuant to this Section 4.1(b)(vi) shall be made only if and to the extent that such Feeder Partner would have a deficit balance in its Adjusted Capital Account after all other allocations provided for in this Article IV have been tentatively made as if this Section 4.1(b)(vi) were not in this Agreement. It is intended that this Section 4.1(b)(vi) qualify and be construed as a "qualified income offset" within the meaning of Treasury Regulations Section 1.704-1(b)(2)(ii)(d).

(vii) In the event that any Feeder Partner has a deficit balance in its Adjusted Capital Account at the end of any Allocation Period, such Feeder Partner shall be allocated items of Partnership gross income, gain and Simulated Gain in the amount of such deficit as quickly as possible; provided that an allocation pursuant to this Section 4.1(b)(vii) shall be made only if and to the extent that such Feeder Partner would have a deficit balance in its Adjusted Capital Account after all other allocations provided for in this Article IV have been tentatively made as if Section 4.1(b)(vi) and this Section 4.1(b)(vii) were not in this Agreement.

(viii) To the extent an adjustment to the adjusted tax basis of any Partnership properties pursuant to Code Section 734(b) (including any such adjustments pursuant to Treasury Regulations Section 1.734-2(b)(1)) is required pursuant to Treasury Regulations Section 1.704-1(b)(2)(iv)(m)(2) or 1.704-1(b)(2)(iv)(m)(4) to be taken into account in determining Capital Accounts as the result of a distribution to any Feeder Partner in complete liquidation of such Feeder Partner's interest in the Partnership, the amount of such adjustment to Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis) and such gain or loss shall be allocated to the Feeder Partners in accordance with Treasury Regulations Section 1.704-1(b)(2)(iv)(m)(2) if such Treasury Regulations Section applies,

or to the Feeder Partner to whom such distribution was made if Treasury Regulations Section 1.704-1(b)(2)(iv)(m)(4) applies.

(ix) Simulated Depletion for each Depletable Property, and Simulated Loss upon the disposition of a Depletable Property, shall be allocated among the Feeder Partners in proportion to their shares of the Simulated Basis in such property.

(x) In the event that the excuse procedure in Section 3.5 of the Main Fund Agreement is invoked or there is an exercise of remedies pursuant to Section 3.4 of the Main Fund Agreement and applied to this Partnership pursuant to Section 1.8 in respect of a default resulting in a change in the economic interests of the Feeder Partners, the Partnership's allocations pursuant to Section 4.1(a) shall be adjusted as determined to be appropriate by the General Partner to properly reflect the economic interests of the Feeder Partners in the Portfolio Investment to which such excuse or exercise of remedies relates.

(xi) To the extent any payment by an additional Feeder Limited Partner under Section 10.2(a)(iii) is paid to the Partnership and is treated as income recognized by the Partnership rather than a payment between Feeder Partners, such income shall be allocated to the Feeder Partners to which such payment is distributable under Section 10.1.

(xii) Placement Fees and Excess Organization Costs shall be allocated among the Feeder Partners who actually make Capital Contributions with respect to such costs and expenses. Management Fees shall be allocated in the manner provided in Section 5.11 of the Main Fund Agreement and applied to this Partnership pursuant to Section 1.8.

(xiii) To the extent the General Partner is required to make contributions to the Partnership under Section 9.4 of the Main Fund Agreement as a Clawback Amount, any expense or deduction arising from the contribution of such monies and their distribution to the other Feeder Partners shall be specially allocated to the General Partner and any income arising in respect of the Partnership's receipt of such contributions shall be specially allocated to the Feeder Partners that would have otherwise been allocated and distributed the income and monies relating to such Clawback Amount but for their initial allocation and payment to the General Partner.

(xiv) Items of income, gain, loss, expense or credit resulting from a Covered Audit Adjustment shall be allocated to the Feeder Partners in accordance with the applicable provisions of the Bipartisan Budget Act.

(xv) To the extent, if any, that General Partner expenses and any items of loss, expense or deduction resulting therefrom are deemed to constitute items of Partnership loss or deduction rather than items of loss, expense or deduction of the General Partner, such General Partner expenses and other items of loss, expense or deduction shall be allocated one hundred percent (100%) to the General Partner and the General Partner's Capital Account shall be credited with a deemed capital contribution of the same amount.

## **Section 4.2    Other Allocation Rules.**

### **(a)    Allocations for U.S. Federal Income Tax Purposes.**

(i)    Except as otherwise provided in this Section 4.2(a) or Section 4.2(b), the taxable income or loss of the Partnership (and items thereof) for any taxable year shall be allocated among the Feeder Partners to the maximum extent possible in the same manner as the corresponding items (if any) are allocated among the Feeder Partners for purposes of maintaining their Capital Accounts.

(ii)    In accordance with Section 704(c) of the Code, the Treasury Regulations thereunder, and the portions of the Treasury Regulations under Section 704(b) that apply the principles of Section 704(c), income and deductions with respect to any property carried on the books of the Partnership at an amount that differs from such property's adjusted tax basis shall, solely for U.S. federal income tax purposes, be allocated among the Feeder Partners in a manner to take into account any variation between the adjusted tax basis of such property to the Partnership and such Book Value. In making such allocations, the General Partner shall use such method or methods as it determines to be reasonable and in accord with applicable Treasury Regulations.

(iii)    Any (A) recapture of depreciation or any other item of deduction shall be allocated, in accordance with Treasury Regulations Sections 1.1245-1(e) and 1.1254-5, to the Feeder Partners who received the benefit of such deductions (taking into account the effect of remedial allocations) and (B) recapture of grants or credits shall be allocated to the Feeder Partners in accordance with applicable law.

(iv)    Tax credits of the Partnership shall be allocated among the Feeder Partners as provided in Treasury Regulations Sections 1.704-1(b)(4)(ii) and 1.704-1(b)(4)(viii).

(v)    Allocations pursuant to this Section 4.2(a) are solely for purposes of U.S. federal, state and local taxes and, except as otherwise specifically provided, shall not affect, or in any way be taken into account in computing, any Feeder Partner's Capital Account or share of Profits, Losses, other items or distributions pursuant to any provision of this Agreement.

(vi)    If, as a result of an exercise of a non-compensatory option to acquire an interest in the Partnership, a Capital Account reallocation is required under Treasury Regulations Section 1.704-1(b)(2)(iv)(s)(3), the Partnership shall make corrective allocations pursuant to Treasury Regulations Section 1.704-1(b)(4)(x).

### **(b)    Income Tax Allocations with Respect to Depletable Properties.**

(i)    Cost and percentage depletion deductions with respect to any Depletable Property shall be computed separately by the Feeder Partners rather than the Partnership. For purposes of such computations, the U.S. federal income tax basis of each Depletable Property shall be allocated to each Feeder Partner in accordance with such Feeder Partner's Capital Interest Percentage as of the time such Depletable Property is acquired by the Partnership (and any additions to such U.S. federal income tax basis resulting from

expenditures required to be capitalized in such basis shall be allocated among the Feeder Partners in a manner designed to cause the Feeder Partners' proportionate shares of such adjusted U.S. federal income tax basis to be in accordance with their Capital Interest Percentages as determined at the time of any such additions), and shall be reallocated among the Feeder Partners in accordance with the Feeder Partners' Capital Interest Percentages as determined immediately following the occurrence of an event giving rise to an adjustment to the Book Values of the Partnership's Depletable Properties pursuant to clause (b) of the definition of Book Value. The Partnership shall inform each Feeder Partner of such Feeder Partner's allocable share of the U.S. federal income tax basis of each Depletable Property promptly following the acquisition of such Depletable Property by the Partnership, any adjustment resulting from expenditures required to be capitalized in such basis, and any reallocation of such basis as provided in the previous sentence.

(ii) For purposes of the separate computation of gain or loss by each Feeder Partner on the taxable disposition of Depletable Property, the amount realized from such disposition shall be allocated (i) first, to the Feeder Partners in an amount equal to the Simulated Basis in such Depletable Property in proportion to their allocable shares thereof and (ii) second, any remaining amount realized shall be allocated consistent with the allocation of Simulated Gains.

(iii) The allocations described in this Section 4.2(b) are intended to be applied in accordance with the Feeder Partners' "interests in partnership capital" under Code Section 613A(c)(7)(D); provided, however, that the Feeder Partners understand and agree that the General Partner may authorize special allocations of federal income tax basis, income, gain, deduction or loss, as computed for U.S. federal income tax purposes, in order to eliminate differences between Simulated Basis and adjusted U.S. federal income tax basis with respect to Depletable Properties, in such manner as determined consistent with the principles outlined in Section 4.2(a)(ii). The provisions of this Section 4.2(b) and the other provisions of this Agreement relating to allocations under Code Section 613A(c)(7)(D) are intended to comply with Treasury Regulations Section 1.704-1(b)(4)(v) and shall be interpreted and applied in a manner consistent with such Treasury Regulations.

(iv) Each Feeder Partner, with the assistance of the Partnership, shall separately keep records of its share of the adjusted tax basis in each Depletable Property, adjust such share of the adjusted tax basis for any cost or percentage depletion allowable with respect to such property and use such adjusted tax basis in the computation of its cost depletion or in the computation of its gain or loss on the disposition of such property by the Partnership. Upon the reasonable request of the Partnership, each Feeder Partner shall advise the Partnership of its adjusted tax basis in each Depletable Property and any depletion computed with respect thereto, both as computed in accordance with the provisions of this subsection for purposes of allowing the Partnership to make adjustments to the tax basis of its assets as a result of certain transfers of interests in the Partnership or distributions by the Partnership. The Partnership may rely on such information and, if it is not provided by the Feeder Partner, may make such reasonable assumptions as it shall determine with respect thereto.

(c) Other Allocation Rules.

(i) All items of income, gain, loss, deduction, and credit allocable to any interest in the Partnership that may have been transferred shall be allocated between the transferor and the transferee in accordance with a method selected by the General Partner and permissible under Section 706 of the Code and the applicable Treasury Regulations.

(ii) The Feeder Partners' proportionate shares of the "excess nonrecourse liabilities" of the Partnership, within the meaning of Treasury Regulations Section 1.752-3(a)(3), shall be allocated to the Feeder Partners in any manner determined by the General Partner and permissible under the Treasury Regulations.

(iii) The definition of Capital Account set forth in Section 7.1 and the allocations set forth in Section 4.1(b), Section 4.2(a), Section 4.2(b) and the preceding provisions of this Section 4.2(c) are intended to comply with the Treasury Regulations. If the General Partner determines that the determination of a Feeder Partner's Capital Account or the allocations to a Feeder Partner are not in compliance with the Treasury Regulations or the intended economics of this Agreement, the General Partner is authorized to make any appropriate adjustments.

**Section 4.3 Distributions of Distributable Cash.** Subject to the other provisions of this Article IV, Distributable Cash attributable to any Portfolio Investment shall be distributed to the Feeder Partners as soon as reasonably practicable after receipt by the Partnership. All distributions shall be made to the Feeder Limited Partners in proportion to their indirect participation in such Portfolio Investment; provided that the General Partner may make adjustments to such distributions among the Feeder Limited Partners to reflect the Management Fee and Carried Interest Distributions apportioned to each Feeder Limited Partner pursuant to the Main Fund Agreement and to take into account each Feeder Limited Partner's share of costs described in Section 5.6(b).

**Section 4.4 Distributions Not Attributable to Portfolio Investments.** All Short-Term Non-Portfolio Investment Income and other Distributable Cash not attributable to a Portfolio Investment shall be distributed to the Feeder Limited Partners in accordance with their Feeder LP Percentages.

**Section 4.5 Withholding.**

(a) Withholding Taxes.

(i) *Investor-Related Taxes.* To the extent the General Partner, the Partnership or any Affiliate of the foregoing is required by any applicable rule, regulation or law to withhold or to make tax payments on behalf of or with respect to any Feeder Partner (including any Partnership-Level Taxes), including any interest and penalties imposed thereon, or with respect thereto ("**Investor-Related Taxes**"), the Partnership may withhold such amounts or make such tax payments as so required.

(ii) *Deemed Investor-Related Taxes.* If the proceeds directly or indirectly received by the Partnership from a Portfolio Investment or any Blocker Corporation are

reduced on account of taxes paid or incurred (directly or indirectly) by the Partnership, any Blocker Corporation or a Portfolio Investment or any other Person or withheld (directly or indirectly) by any Person, and such taxes (including Partnership-Level Taxes) relate to or are attributable or allocable to one or more Feeder Partners, the amount of the reduction shall be borne by the relevant Feeder Partners and treated as if it were paid by the Partnership as an Investor-Related Tax with respect to such Feeder Partners pursuant to Section 4.5(a)(i) for all purposes of this Agreement. If the proceeds to the Partnership from a Portfolio Investment or any Blocker Corporation are reduced on account of taxes (other than taxes of any type or nature whatsoever imposed on or incurred by a Blocker Corporation) paid or incurred (directly or indirectly) by the Partnership, the Portfolio Investment or any Blocker Corporation or any Person or withheld (directly or indirectly) by any Person, and such taxes are imposed on or with respect to the Partnership and do not relate to and are not attributable to or allocable to any of the Feeder Partners, the amount of the reduction shall not be treated as an Investor-Related Tax and rather shall be treated as an Operating Cost. Any determinations made by the General Partner pursuant to this Section 4.5(a) shall be binding upon the Feeder Partners.

(b) **Repayment of Investor-Related Taxes.** All Investor-Related Taxes paid on behalf of a Feeder Partner, plus interest thereon at a rate equal to the greater of (x) the Prime Plus Rate as of the date of payment of such Investor-Related Taxes and (y) the applicable underpayment rate for such period as specified in Section 6621 of the Code, shall (i) be paid on demand by the Feeder Partner on whose behalf such Investor-Related Taxes were made (it being understood that no such payment shall reduce such Feeder Partner's Unpaid Commitment or increase such Feeder Partner's Capital Contributions and any such payment shall be payable without regard to such Feeder Partner's Unpaid Commitment and notwithstanding the termination of the Commitment Period), or (ii) with the Consent of the General Partner, in its sole discretion, be repaid by reducing the amount of the current or next succeeding distribution or distributions which would otherwise have been made to such Feeder Partner or, if such distributions are not sufficient for that purpose, by so reducing the proceeds of liquidation otherwise payable to such Feeder Partner. Notwithstanding the foregoing, whenever repayment of an Investor-Related Tax by a Feeder Partner is made as described in clause (ii), for all other purposes of this Agreement such Feeder Partner shall be treated as having received all distributions unreduced by the amount of such Investor-Related Tax.

(c) **Tax Forms.** If requested by the Partnership or the General Partner, each Feeder Limited Partner shall, if legally able to do so, deliver to the Partnership: (i) an affidavit in a form reasonably satisfactory to the General Partner that such Feeder Limited Partner (or its direct or indirect owners, as the case may be) is not subject to withholding under the provisions of any federal, state, local, foreign or other law; (ii) any certificate or other document that the General Partner may reasonably request with respect to any such laws, including any form, certification, or other information required by FATCA; or (iii) any other form or instrument reasonably requested by the General Partner relating to such Feeder Limited Partner's status under such law. If any Feeder Limited Partner fails or is unable to deliver to the Partnership or the General Partner an affidavit described in clause (i) or certificate or other documentation described in clause (ii), the General Partner may cause the Partnership to withhold amounts from such Feeder Limited Partner in accordance with Section 4.5(a)(i), and such Feeder Limited Partner acknowledges that it may be subject to the deemed Investor-Related Taxes provisions of Section 4.5(a)(ii).

(d) Overwithholding. None of the Partnership, the Partnership Representative, or the General Partner shall be liable for any excess Investor-Related Taxes withheld (directly or indirectly) in respect of any Feeder Partner, and, in the event of overwithholding, a Feeder Partner's sole recourse shall be to apply for a refund from the appropriate governmental authority.

(e) Investor-Related Taxes — Reimbursement of Liabilities. Each Feeder Partner hereby agrees to reimburse the Partnership, the Partnership Representative and the General Partner for any liability (including any liability for Partnership-Level Taxes) with respect to Investor-Related Taxes (including interest thereon) required or made on behalf of or with respect to such Feeder Partner (including penalties imposed with respect thereto). Notwithstanding any other provision of this Agreement, any Person who ceases to be a Feeder Partner shall be treated as a Feeder Partner for purposes of this Section 4.5 and the obligations of a Feeder Partner pursuant to this Section 4.5 shall survive indefinitely with respect to any taxes withheld or paid or incurred (directly or indirectly) by the Partnership, any Blocker Corporation or a Portfolio Investment or any other Person that relate to the period during which such Person was actually a Feeder Partner, regardless of whether such taxes are assessed, withheld or otherwise paid during such period; provided, however, that if the General Partner determines in its sole discretion that seeking indemnification for Partnership-Level Taxes is not practicable, or that seeking such indemnification has failed, then, in either case, the General Partner may require the substituted Feeder Partner that acquired directly or indirectly from such former Feeder Partner the interest in the Partnership associated with such portion of the Partnership-Level Tax to pay such amount or treat such portion as an Operating Cost.

(f) Information for Partners. After receipt of a written request of any Feeder Partner, the Partnership shall use commercially reasonable efforts to provide such information to such Feeder Partner and take such other action as may be reasonably necessary to assist such Feeder Partner in making any necessary filings, applications or elections to obtain any available exemption from, or any available refund of, any withholding imposed by any foreign taxing authority with respect to amounts distributable or items of income allocable to such Feeder Partner hereunder to the extent not adverse to the Partnership or any Feeder Partner; provided, however, that in each case any such requesting Feeder Partner shall cooperate with the Partnership with respect to any such filing, application or election to the extent reasonably determined by the General Partner and that any filing fees, taxes or other out-of-pocket expenses reasonably incurred and related thereto shall be paid and borne by such requesting Feeder Partner or, if there is more than one requesting Feeder Partner, by such requesting Feeder Partners pro rata (determined in accordance with such Feeder Partners' respective Commitments).

## ARTICLE V - MANAGEMENT

**Section 5.1 Power and Authority of General Partner.** Subject to any approval rights of the LPAC set forth in the Main Fund Agreement, the limited partners of the Main Fund and of the Feeder Funds set forth in the Main Fund Agreement or the Feeder Limited Partners set forth in this Agreement, the General Partner shall have full, exclusive and unilateral power and authority on behalf of the Partnership to manage, control, administer and operate the business and affairs of the Partnership in accordance with this Agreement and to do or cause to be done any and all acts necessary or incidental thereto, and (except as aforesaid) the scope of such power and authority shall encompass all matters in any way connected with such business or incidental thereto.

**Section 5.2    Restrictions on General Partner's Power and Authority.**

(a)     The General Partner shall not, without having received the prior Consent of those Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages equal or exceed 66 2/3%, merge or consolidate the Partnership with any partnership or other entity, convert the Partnership into another type of entity, or cause the Partnership to participate in an exchange of interests or some other type of business combination with any partnership or other entity.

(b)     The General Partner shall not, without having received the prior Consent of those Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages equal or exceed 80%, cause the Partnership to file a voluntary petition in bankruptcy or take any other similar action.

**Section 5.3    Liability; Standard of Care.**

(a)     The General Partner shall be personally liable for the debts and obligations of the Partnership except as otherwise provided in the documents creating such debts or obligations; but all such debts and obligations shall be paid or discharged first with the assets of the Partnership before the General Partner shall be obligated to pay or discharge any such debt or obligation with its personal assets.

(b)     The General Partner has the liabilities set forth herein and, unless otherwise modified herein, under the Act to (i) Persons other than the Partnership and the other Feeder Partners and (ii) the Partnership and the other Feeder Partners. No Covered Person shall be liable to the Partnership or any Feeder Partner, and each Feeder Partner does hereby release such Covered Person, for any act or omission, including any mistake of fact or error in judgment, taken, suffered or made by such Covered Person in good faith and in the belief that such act or omission is in or is not contrary to the best interests of the Partnership and is within the scope of authority granted to such Covered Person by this Agreement, provided that such act or omission (x) in the instance of a Covered Person, other than a member of the LPAC, was not the result of fraud, willful or intentional misconduct or criminal wrongdoing, gross negligence, a material breach of applicable securities laws or a breach of this Agreement or any Side Letter which materially and adversely affects the business and operations of the Partnership or the Feeder Limited Partners' investment in the Partnership and (y) in the instance of a Covered Person who is or was a member of the LPAC, was not the result of fraud or willful or intentional misconduct.

(c)     The General Partner may consult with legal counsel, accountants, appraisers, investment bankers, and other consultants and advisers selected and retained by the General Partner with due care and any written opinion of any such person as to matters which the General Partner reasonably believes to be within such person's professional or expert competence shall be full and complete authorization and protection in respect of any action taken or omitted by the General Partner hereunder in good faith and in accordance with such opinion.

(d)     The General Partner may rely on and shall be protected in acting or refraining from acting upon any resolution, certificate, statement, instrument, opinion, report, notice, request, Consent, order, bond, debenture, or other paper or document reasonably believed by it to be genuine and to have been signed or presented by the proper party or parties.



(e) To the extent that, at law or in equity, a Covered Person has duties and liabilities relating thereto to the Partnership or to the Feeder Partners, any Covered Person acting under this Agreement shall not be liable to the Partnership or any Feeder Partner for its good faith reliance on the provisions of this Agreement. The provisions of this Agreement, to the extent that they restrict the duties and liabilities of a Covered Person otherwise existing at law or in equity and to the extent permitted by law, are agreed by the Feeder Partners to replace such other duties and liabilities of such Covered Person.

#### **Section 5.4 Indemnification.**

(a) The Partnership shall indemnify to the maximum extent permitted under the Act and save harmless each Covered Person from and against any and all losses, claims, demands, liabilities, expenses, judgments, fines, settlements and other amounts arising from any and all claims, demands, actions, suits or proceedings, whether civil, criminal, administrative or investigative, of whatever nature that may accrue to or be incurred by any Covered Person or in which a Covered Person may be involved, or threatened to be involved, as a party or otherwise, that relates to or arises out of the Partnership or its business and affairs. Notwithstanding the foregoing, (i) no Covered Person shall be indemnified by the Partnership for any acts or omissions by the Covered Person that (A) in the instance of a Covered Person, other than any member of the LPAC or any Feeder Limited Partner represented by any member of the LPAC, constitute fraud, willful or intentional misconduct or criminal wrongdoing, gross negligence, a material breach of applicable securities laws or a breach of this Agreement or any Side Letter which materially and adversely affects the business and operations of the Partnership or the Feeder Limited Partners' investment in the Partnership or (B) in the instance of a member of the LPAC or any Feeder Limited Partner represented by any member of the LPAC, that constitutes fraud or willful or intentional misconduct and (ii) no Covered Person in its capacity as a Limited Partner shall be indemnified for any losses arising from its Commitment to or interest in the Partnership.

(b) Subject to Section 5.4(h), expenses incurred by a Covered Person in defending or investigating a threatened or pending action, suit or proceeding shall be paid by the Partnership in advance of the final disposition of such action, suit or proceeding upon receipt of (i) a written undertaking by or on behalf of such Covered Person to repay such amount if it shall ultimately be determined that it is not entitled to be indemnified by the Partnership as authorized by this Section 5.4 and (ii) a written affirmation from such Covered Person of such Covered Person's good faith belief that the Covered Person has met the standard of conduct necessary for indemnification under Section 5.4(a).

(c) The Partnership shall, to the maximum extent permitted under the Act, pay or reimburse expenses incurred by a Covered Person in connection with the Covered Person's appearance as a witness or other participation in a proceeding involving or affecting the Partnership at a time when the Covered Person is not a named defendant or respondent in the proceeding.

(d) The General Partner shall have the right to require that any contract entered into by the Partnership provides that neither the General Partner nor any Feeder Limited Partner shall have personal liability for the obligations of the Partnership thereunder. This Section 5.4(d) shall not be deemed (i) to constitute any limitation or modification of the General Partner's duties and obligations under Section 5.3 and (ii) to permit the General Partner to cause the Partnership to

execute a contract that provides a Feeder Limited Partner will have personal liability for the obligations of the Partnership thereunder.

(e) The indemnification provided by this Section shall be in addition to any other rights to which each Covered Person may be entitled under any agreement or vote of the Feeder Partners, as a matter of law or otherwise, both as to action in the Covered Person's capacity as a Feeder Partner or an officer, director, member, employee or agent of a Feeder Partner or an Affiliate thereof or as a member of the LPAC (or as a Feeder Limited Partner associated with such member or an Affiliate of such Feeder Limited Partner) or as a Partnership Representative or as a Person serving at the request of the Partnership as set forth above and to action in another capacity, and shall continue as to a Covered Person who has ceased to serve in such capacity and shall inure to the benefit of the heirs, successors, assigns, administrators and personal representatives of the Covered Person. Prior to a Covered Person receiving any indemnification payment from the Partnership, such Covered Person shall first seek recovery under any indemnity or any insurance policies by which such Covered Person is indemnified or covered from any issuer in which the Partnership has an investment. Solely for purposes of clarification, and without expanding the scope of indemnification pursuant to this Section 5.4, the Feeder Partners intend that, to the maximum extent permitted by law, as between (i) Portfolio Companies of the Partnership, (ii) the Partnership and (iii) the General Partner and its Affiliates, this Section 5.4 shall be interpreted to reflect an ordering of liability for potentially overlapping or duplicative indemnification payments, with any applicable Portfolio Company having primary liability, the Main Fund having only secondary liability, the Partnership having only tertiary liability, and (if applicable) the General Partner and its Affiliates having only quaternary and subsequent liability. The possibility that a Covered Person may receive indemnification payments from a Portfolio Company shall not restrict the Partnership from making payments under this Section 5.4 to a Covered Person that is otherwise eligible for such payments, but such payments by the Partnership are not intended to relieve any Portfolio Company from any liability that it would otherwise have to make indemnification payments to such Covered Person and, if a Covered Person that has received payments from the Partnership pursuant to this Section 5.4 actually receives duplicative indemnification payments from a Portfolio Company for the same fees, costs and expenses, such Covered Person shall repay the Partnership as soon as practicable to the extent of such duplicative payments. To the extent necessary or appropriate under applicable law in order to effect such intention of the Feeder Partners in the case of potentially overlapping or duplicative indemnification payments by the Partnership and a Portfolio Company, the Partnership shall, to the extent permitted by law, use commercially reasonable efforts to pursue a right of subrogation against such Portfolio Company if the Partnership makes payments to a Covered Person pursuant to this Section 5.4 with regard to the same fees, costs and expenses for which such Covered Person was otherwise eligible for indemnification payments from such Portfolio Company. As used in this Section 5.4, indemnification payments made or to be made by a Portfolio Company shall be deemed to include (A) advancement of expenses with regard to indemnification obligations, (B) payments made or to be made by any successor to the indemnification obligations of such Portfolio Company and (C) equivalent payments made or to be made by or on behalf of such Portfolio Company (or such successor) pursuant to an insurance policy or similar arrangement.

(f) In no event may a Covered Person subject the Feeder Partners to personal liability by reason of the indemnification provided by this Section 5.4.

(g) A Covered Person shall not be denied indemnification in whole or in part under this Section 5.4 because the Covered Person had an interest in the transaction with respect to which the indemnification applies if the transaction was otherwise permitted and approved pursuant to the terms of this Agreement and in the absence of any fraud, willful or intentional misconduct or criminal wrongdoing, gross negligence, a material breach of applicable securities laws or a breach of this Agreement or any Side Letter which materially and adversely affects the business and operations of the Partnership or the Feeder Limited Partners' investment in the Partnership on behalf of the Covered Person and its Affiliates.

(h) If indemnification payments made by the Partnership to a Covered Person under this Section 5.4 with respect to a given matter (i) exceed \$200,000 in the aggregate, the General Partner shall give prompt notice of same to the LPAC, and (ii) exceed \$400,000 in the aggregate, the General Partner shall give prompt notice of same to the Feeder Limited Partners. In addition, the Partnership shall not advance any expenses to a Covered Person pursuant to Section 5.4(b) in connection with any action or suit brought against such Covered Person by those Investor Limited Partners whose aggregate Investor LP Percentages exceed 60%.

(i) Notwithstanding the foregoing, the Partnership's indemnification obligations under this Section 5.4 shall not extend or apply to: (i) any intra-General Partner disputes or proceedings (e.g., a dispute or proceeding between the current or former shareholders, officers, directors, employees, partners, members, managers or agents of the General Partner or Affiliates of the General Partner, provided, however, that for purposes of this example, it is understood that "Affiliates of the General Partner" shall not include any Portfolio Company) or disputes or proceedings among the General Partner and its Affiliates; or (ii) any act or omission of any Covered Person in such Covered Person's role as an officer or director of a former Portfolio Company, if such act or omission (A) occurs subsequent to when the Partnership has Disposed of its entire interest in such Portfolio Company and (B) does not reasonably relate to activities, matters or events arising or occurring during the term of the Partnership's investment in such Portfolio Company.

## **Section 5.5 Return of Distributions.**

(a) A Feeder Limited Partner's liability under this Section 5.5 to return distributions received by it shall be limited to an amount equal to the lesser of 25% of such Feeder Limited Partner's Commitment and 25% of the total distributions received by a Blocker Corporation in respect of such Feeder Limited Partner. In addition to the foregoing, no Feeder Limited Partner shall be required to return distributions to the Partnership later than the second anniversary of the distribution, provided that if at the end of such period there are any proceedings pending or claims outstanding, the General Partner shall notify the Feeder Limited Partners in writing of the general nature of such proceedings or claims and an estimate of the amount of distributions that may be required to be returned pursuant to this Section 5.5 and the obligation of the Feeder Partners to return distributions pursuant to this Section 5.5 shall be extended with respect to each such proceeding or claim until the date such proceedings or claims are ultimately resolved and distributions are returned to the Partnership in respect thereof pursuant to this Section 5.5. Any distributions returned pursuant to this Section 5.5 shall not be treated as Capital Contributions, but shall be treated as returns of distributions and reductions in Distributable Cash. Nothing in this Section 5.5, express or implied, is intended or shall be construed to give any Person other than the

Partnership or the Feeder Partners any legal or equitable right, remedy or claim under or in respect of this Section 5.5 or any provision contained herein.

**Section 5.6 Payment or Reimbursement of Organization Costs, Operating Costs and other Costs.**

(a) With respect to any Capital Contribution intended for any payment of Operating Costs (other than Operating Costs described in Section 5.6(b)) or Organization Costs, each Feeder Limited Partner shall be responsible for the portion of such Operating Costs or Organization Costs equal to such Feeder Limited Partner's LP Percentage and, with respect to any capital contribution pursuant to Section 5.6(b), each Feeder Limited Partner shall be responsible for the portion of such Operating Costs equal to such Feeder Limited Partner's Feeder LP Percentage.

(b) Any Operating Costs attributable solely to the Partnership or a Blocker Corporation shall be allocated or paid in such manner as the General Partner in its reasonable discretion shall determine, which may include withholding such amount from distributions to the Feeder Limited Partners, advancing such amount and then subsequently withholding such amount from distributions to the Feeder Limited Partners or requiring the Feeder Limited Partners to pay such amount outside of their Commitment to the Partnership. Consistent with the foregoing, to the extent capital is called from the Feeder Limited Partners to pay any such fees, costs or expenses, such amounts shall not be treated as a Capital Contribution for purposes of this Agreement or the Main Fund Agreement.

**Section 5.7 Alternative Investment Vehicles.** If the General Partner determines that for legal, tax or regulatory reasons it is in the best interests of the Partnership or of some or all of the Feeder Partners that the Partnership or some or all of the Feeder Partners (directly or indirectly through the Partnership) participate in a Portfolio Investment through an alternative investment structure, the General Partner may apply the provisions of Section 5.16 of the Main Fund Agreement as if such provision were included herein.

**ARTICLE VI - LIMITED PARTNERS**

**Section 6.1 No Participation in Management.** No Feeder Limited Partner shall take part in the management or control of the Partnership's investment or other activities, transact any business in the Partnership's name or have the power to sign documents for or otherwise bind the Partnership. No Feeder Limited Partner shall hold itself out as being a general partner of the Partnership. Except as expressly provided herein, no Feeder Limited Partner shall have the right to vote for the election, removal or replacement of the General Partner. No provision of this Agreement shall obligate any Feeder Limited Partner to refer investments to the Partnership or restrict any investments that such Feeder Limited Partner may make. The exercise by any Feeder Limited Partner of any right conferred herein shall not be construed to constitute participation by such Feeder Limited Partner in the control of the investment or other activities of the Partnership so as to make such Feeder Limited Partner liable as a general partner for the debts and obligations of the Partnership for purposes of the Act or otherwise.

**Section 6.2 Liability of Feeder Limited Partners.** The Feeder Limited Partners, subject to Section 4.5, shall not be liable for the debts, liabilities, contracts or other obligations of

the Partnership except for the Unpaid Commitment of a Feeder Limited Partner, except to the extent of the Feeder Limited Partners' share of the assets (including undistributed revenues) of the Partnership and except as otherwise provided in the Act.

**Section 6.3 Representatives of the Feeder Limited Partners.** Upon request of the General Partner, each Feeder Limited Partner shall provide to the General Partner a list of each officer, attorney-in-fact, employee and other person who is then authorized to act for or on behalf of such Feeder Limited Partner with respect to the matters provided for in this Agreement. The General Partner shall be entitled to fully rely on any vote, Consent, election or other action given, made or taken by such person on behalf of such Feeder Limited Partner, and until the General Partner is notified in writing to the contrary, such person shall be authorized to take all action on behalf of such Feeder Limited Partner which the Feeder Limited Partner is authorized to take hereunder.

**Section 6.4 Incapacity.** The Incapacity of a Feeder Limited Partner shall not cause a winding up and dissolution of the Partnership, but the rights of such Feeder Limited Partner to share in the profits and losses of the Partnership, to give any Consents required of such Feeder Limited Partner under the terms of this Agreement, to receive distributions of Partnership funds, and to assign its interest in the Partnership pursuant to Article X shall, on the occurrence of such an event, devolve on such Feeder Limited Partner's trustee, receiver or liquidator, as the case may be, and the Partnership shall continue as a limited partnership. The trustee, receiver or liquidator, as the case may be, shall be liable for all the obligations of the Incapacitated Feeder Limited Partner. However, in no event shall such trustee or receiver become a substituted Feeder Limited Partner, except in accordance with Article X.

## **ARTICLE VII - ACCOUNTING, REPORTING AND BANKING MATTERS; CONFIDENTIALITY**

### **Section 7.1 Books of Account; Capital Accounts.**

(a) The General Partner shall keep books of account for the Partnership in accordance with generally accepted accounting principles in the United States consistently applied and in accordance with the terms of this Agreement. Such books shall be maintained at the United States principal office of the Partnership or at such other place or places in the United States as determined by the General Partner. The calendar year shall be selected as the accounting and Fiscal Year of the Partnership.

(b) An individual capital account (a "**Capital Account**") shall be maintained by the Partnership for each Feeder Partner in accordance with the rules of Treasury Regulations Section 1.704-1(b)(2)(iv) and the following provisions:

(i) The Capital Account of each Feeder Partner shall, except as otherwise provided herein, be (A) credited with the amount of cash and the initial Book Value of any other property contributed to the Partnership by such Feeder Partner, including, to the extent applicable, pursuant to Section 7.1(b)(ii) (net of liabilities secured by such contributed property that the Partnership is considered to assume or take subject to under Section 752 of the Code), (B) credited with allocations to such Feeder Partner of Profits

pursuant to Section 4.1(a) and any other items of income or gain allocated to such Feeder Partner pursuant to Section 4.1(b), (C) credited with any other increases allowed or required by Treasury Regulations Section 1.704-1(b)(2)(iv), (D) debited with allocations to such Feeder Partner of Losses pursuant to Section 4.1(a) and any other items of loss or deduction allocated to such Feeder Partner pursuant to Section 4.1(b), (E) debited by the amount of cash or the Book Value of any property distributed to such Feeder Partner (net of liabilities secured by such distributed property that such Feeder Partner is considered to assume or take subject to under Section 752 of the Code) and (F) debited with any other decreases allowed or required by Treasury Regulations Section 1.704-1(b)(2)(iv).

(ii) If any Partnership-Level Tax (A) for purposes of maintaining Capital Accounts and allocating Profits and Losses, is treated as an expense of the Partnership, and (B) for purposes of Section 4.3, relates to one or more Feeder Partners (each such Feeder Partner, an “**Affected Partner**”) and is recoverable from such Affected Partners in accordance with Section 4.5, then to the extent that the General Partner determines it is appropriate for purposes of properly maintaining Capital Accounts (including by avoiding duplicative reductions thereto), the Partnership (1) shall allocate the expense with respect to such tax to the Affected Partners in accordance with Section 4.1(b)(xiv), (2) to the extent the Partnership recovers the Partnership-Level Tax by payment from the Affected Partners (whether directly or in repayment of a deemed loan), shall increase the Affected Partners’ Capital Accounts by the amount of such payment in accordance with Section 7.1(b)(i)(A) (notwithstanding that for all other purposes of this Agreement, the amount of such payment shall not reduce such an Affected Partner’s Unpaid Commitment nor increase such Affected Partner’s Capital Contributions and any such payment shall be payable without regard to such Affected Partner’s Unpaid Commitment and notwithstanding the termination of the Commitment Period), and (3) to the extent the Partnership recovers the Partnership-Level Tax by reducing the distributions to which the Affected Partners would otherwise be entitled to receive, shall not reduce the Capital Account of the Affected Partners by the amount of the distributions that were offset (notwithstanding that the amount of such distributions that were offset will be treated as having been distributed to the Affected Partners).

(iii) In the event of a Disposition of interests in the Partnership made in accordance with this Agreement, the Capital Account of the assigning Feeder Partner that is attributable to the Disposed interests in the Partnership shall, if applicable, for U.S. tax purposes, carry over to the assignee Feeder Partner in accordance with the provisions of Treasury Regulations Section 1.704-1(b)(2)(iv)(I).

Notwithstanding anything herein to the contrary, the provisions of this Agreement relating to the maintenance of Capital Accounts are intended to comply with applicable Treasury Regulations under Section 704 of the Code and to provide for allocations that have “substantial economic effect” or are in accordance with the Feeder Partners’ interests in the Partnership, in each case, within the meaning of those Treasury Regulations. The provisions of this Agreement shall be interpreted and applied in a manner consistent with this intention and the General Partner shall have the authority to adjust the allocations or manner in which Capital Accounts are maintained to comply therewith. Except as otherwise required by applicable law, no Feeder Partner shall have

any liability to restore all or any portion of a deficit balance in such Feeder Partner's Capital Account.

## **ARTICLE VIII - TAX, ERISA, AND OTHER REGULATORY RELATED MATTERS**

**Section 8.1 Tax Status.** The Feeder Partners agree to classify the Partnership as a partnership for U.S. federal income tax purposes. Neither the Partnership, the General Partner, nor any Feeder Limited Partner shall file an election to classify the Partnership as an association taxable as a corporation for U.S. federal income tax purposes.

**Section 8.2 Tax Elections.** The General Partner (a) may, in its sole discretion, or shall, if required by law, cause the Partnership to make a timely election under Section 754 of the Code (and a corresponding election under state and local law), and the Feeder Partners shall cooperate to provide the Partnership with all information necessary in connection with such election and (b) may, in its sole discretion, cause the Partnership to make any other election with respect to taxes the General Partner may deem appropriate. Upon request of the General Partner, each Feeder Partner shall cooperate in good faith with the Partnership in connection with the Partnership's efforts to elect out of the application of the Partnership-level audit and adjustment rules of the Bipartisan Budget Act, if applicable.

**Section 8.3 Tax Returns; Other Information.** The General Partner shall prepare or cause to be prepared and timely file all U.S. federal, state and local income and other tax returns and reports as may be required as a result of the business of the Partnership. The General Partner shall use reasonable efforts to furnish to each Feeder Partner, (i) within 105 days, in the case of U.S. federal returns, and (ii) within 150 days, in the case of state and other tax returns, in each case, following the end of each Fiscal Year, such information regarding the amount of such Feeder Partner's share in the Partnership's taxable income or loss for such Fiscal Year, in sufficient detail to enable such Feeder Partner to prepare its tax returns.

**Section 8.4 Partnership Representative.** The General Partner may appoint and replace a Partnership Representative and authorize the Partnership Representative to take any and all actions determined by the General Partner and permissible under the Bipartisan Budget Act. Pursuant to Section 12.1(d), the General Partner shall have the authority to amend this Section 8.4 to give effect to the provisions of the Bipartisan Budget Act and each Feeder Partner agrees to be bound by the provisions of any such amendment. The Partnership Representative is authorized to take such actions and to execute and file all statements and forms on behalf of the Partnership that are approved by the General Partner and are permitted or required by the applicable provisions of the Bipartisan Budget Act (including a "push-out" election under Section 6226 of the Code or any analogous election under state or local tax law) or in connection with any other tax proceeding. Each Feeder Partner agrees to cooperate with the Partnership Representative and to do or refrain from doing any or all things requested by the Partnership Representative and approved by the General Partner (including paying any and all resulting taxes, additions to tax, penalties and interest in a timely fashion) in connection with any examination of the Partnership's affairs by any federal, state, or local tax authorities, including resulting administrative and judicial proceedings. No Feeder Partner shall have any claim against the Partnership Representative, the General Partner or the Partnership for any actions taken (or any failures to take action) by such Persons in good faith pursuant to Section 4.5 or this Section 8.4. Any reasonable, documented cost or expense

incurred by the Partnership Representative in connection with its duties, including the preparation for or pursuance of administrative or judicial proceedings, shall be paid by the Partnership.

**Section 8.5 UBTI.** The General Partner shall use commercially reasonable efforts to conduct the business and affairs of the Partnership in a manner that does not cause any Feeder Limited Partner to recognize any UBTI; provided, (i) the General Partner may satisfy such obligations through the utilization of Blocker Corporations and Alternative Investment Vehicles and (ii) the covenant set forth in this Section 8.5 shall not apply with respect to (x) any income or gain that arises as a result of, or with respect to, the reduction of Management Fees pursuant to Section 5.12 of the Main Fund Agreement or (y) any borrowings pursuant to Section 5.3 of the Main Fund Agreement. Notwithstanding the foregoing, the General Partner, to the extent it acts in good faith to satisfy its obligation in the preceding sentence, shall have no liability to the Feeder Partners or the Partnership to the extent any Feeder Partner recognizes UBTI.

**Section 8.6 ERISA Matters.** The General Partner, on behalf of the Partnership, shall use its reasonable best efforts to manage the business and affairs of the Partnership in such a manner that the Partnership will either qualify under an exemption under the Plan Asset Regulations or any other applicable law, rule or regulation that causes the assets of the Partnership not to be “plan assets” for purposes of ERISA or otherwise be governed, managed and maintained in a manner that will avoid the exercise of discretion by the General Partner or its officers or members or their Affiliates that would cause any such Person to be a fiduciary for purposes of ERISA.

**Section 8.7 Treatment of BHCA Interests for Voting Purposes.** For any determination that is to be made under this Agreement or the Act based upon a specified proportion or percentage of Total Feeder Commitments or aggregate Capital Contributions and any other vote required of Feeder Limited Partners under this Agreement or the Act, any BHCA Interests shall be disregarded. For purposes of any such determination or vote, the applicable proportion or percentage required shall be expressed as a fraction, and shall be calculated by excluding from both the numerator and the denominator the aggregate of all BHCA Interests.

## **ARTICLE IX - DISSOLUTION, LIQUIDATION AND TERMINATION**

**Section 9.1 Dissolution.** The Partnership shall be dissolved upon the occurrence of any of the following:

- (a) The dissolution of the Main Fund.
- (b) The occurrence of an event of withdrawal from the Partnership by the General Partner as provided for in the Act.
- (c) The occurrence of any event which under the Act causes the dissolution of a limited partnership.

**Section 9.2 Continuation.** Upon the occurrence of an event described in Section 9.1(b), the Partnership shall not be dissolved and the business of the Partnership shall be continued if those Feeder Limited Partners whose aggregate Feeder LP Percentages equal or exceed 75% so elect in the manner provided in Section 17-801(3) of the Act, and the provisions



of Section 17-402 of the Act shall be applicable; provided, however, that notwithstanding any other provisions of the Act, the sole remedy of the Feeder Limited Partners shall be to convert the interest of the General Partner to that of a Feeder Limited Partner.

**Section 9.3 Liquidation and Termination.** Upon dissolution of the Partnership, unless reconstituted under Section 9.2, the Partnership shall be liquidated and terminated in accordance with the terms of Section 9.3 of the Main Fund Agreement.

## **ARTICLE X - DISPOSITIONS OF INTERESTS; ADDITIONAL LIMITED PARTNERS; REBALANCING**

**Section 10.1 Dispositions by Limited Partners.** Section 10.1 of the Main Fund Agreement shall apply to this Partnership as if set forth herein and as applied to the Partnership and the Feeder Limited Partnerships.

### **Section 10.2 Admission of Additional Limited Partners.**

(a) During the Additional Subscription Period, the General Partner may, in its sole discretion and without the approval of the Feeder Limited Partners, amend the LP Schedule for the sole purpose of adding one or more parties as an additional Feeder Limited Partner or accepting increases to a Feeder Limited Partner's Commitment. In connection with the foregoing:

(i) Any such party becoming an additional Feeder Limited Partner shall be required to execute and deliver a counterpart of this Agreement confirming its agreement to the terms hereof.

(ii) The General Partner shall revise the LP Schedule to reflect the addition of an additional Feeder Limited Partner as a party hereto and its concomitant Commitment or an increase to a Feeder Limited Partner's Commitment, which Commitment shall be deemed to have been given as of the Initial Closing Date for purposes of this Agreement.

(iii) At the time of becoming a party hereto, each additional Feeder Limited Partner shall be required to make a Capital Contribution to the Partnership equal to the following: (A) in the case of an additional Investor Feeder Limited Partner, the amount of Management Fees due and owing to the Manager retroactive to the Initial Closing Date or the Initial Investment Date, as applicable based upon the Investor Feeder Limited Partner's Management Fee Election, with respect to such Feeder Limited Partner plus interest on the amount described in this Section 10.2(a)(iii)(A) at the Prime Rate from the Initial Funding Date or the Initial Investment Date, as applicable, to the date of payment of such additional Feeder Limited Partner's first Capital Contribution; (B) such additional Feeder Limited Partner's Feeder LP Percentage of the Organization Costs and Operating Costs previously paid by the Partnership plus, subject to Section 10.2(a)(iv), interest on the amount described in this Section 10.2(a)(iii)(B) at the rate of 8% per annum from the date such Capital Contributions were payable by the Feeder Limited Partners that made Capital Contributions prior to the admission of such additional Feeder Limited Partner to fund such investment to the date of payment of such additional Feeder Limited Partner's first Capital Contribution; and (C) such additional Feeder Limited Partner's Feeder LP Percentage of the Partnership's original cost of any investment made by it prior to the date of such

additional Feeder Limited Partner's admission to the Partnership plus, subject to Section 10.2(a)(iv), interest on the amount described in this Section 10.2(a)(iii)(C) at the rate of 8% per annum from the date such Capital Contributions were payable by the Feeder Limited Partners that made Capital Contributions prior to the admission of such additional Feeder Limited Partner to fund such investment to the date of payment of such additional Feeder Limited Partner's first Capital Contribution.

(iv) The imposition of the Interest Component described in Section 10.2(a)(iii)(B) and Section 10.2(a)(iii)(C) is intended to provide, from a time value of money perspective, parity between those Feeder Limited Partners that have invested early and those Feeder Limited Partners that have invested later in the Partnership.

(v) Any amount due that is described in Section 10.2(a)(iii)(A) shall be (x) paid by the Partnership to the Manager or (y) to the extent required to rebalance Management Fee payments for Investor Feeder Limited Partners that elected to pay Management Fees based on the Base Amount, distributed by the Partnership to such Investor Feeder Limited Partners that made Capital Contributions to the Partnership prior to the admission of the additional Investor Feeder Limited Partner pro rata based upon their relative shares of such earlier Capital Contributions in respect of Portfolio Investments and, with respect to the Interest Component, taking into account the timing of such Capital Contributions. Any amounts due that are described in Section 10.2(a)(iii)(B) and Section 10.2(a)(iii)(C) shall be applied to future Call Notices or distributed by the Partnership to the Feeder Partners that made Capital Contributions to the Partnership prior to the admission of the additional Feeder Limited Partner pro rata based upon their relative shares of such earlier Capital Contributions in respect of Organization Costs and Operating Costs and Portfolio Investments, respectively and, with respect to the Interest Component, taking into account the timing of such Capital Contributions. Any amount distributed to a Feeder Partner under the circumstances contemplated under the immediately preceding sentence, exclusive of that portion attributable to the Interest Component, shall be deemed to increase on a dollar-for-dollar basis such Feeder Partner's Unpaid Commitment and shall be deemed to decrease on a dollar-for-dollar basis the Capital Contributions previously paid by such Feeder Partner to the Partnership.

(vi) Each Feeder Limited Partner admitted to the Partnership during the Additional Subscription Period shall succeed to the Capital Contributions of the previously admitted Feeder Partners attributable to the portion of the amount remitted to such previously admitted Feeder Partners pursuant to this Section 10.1 and its Unpaid Commitment shall be adjusted accordingly. In addition, the Capital Contributions of the previously admitted Feeder Partners shall be decreased and their Unpaid Commitments increased accordingly.

(vii) The foregoing provisions of this Section 10.2(a) shall be applied and construed as if the Partnership and all Feeder Funds were a single partnership, and the General Partner shall make the appropriate transfers of cash and investment percentages among the Partnership, the Feeder Funds, and the Blocker Corporations to accomplish such application and construction.

(b) Except as otherwise provided in subsection (a) above, Section 10.1 of the Main Fund Agreement or Section 11.4(g) of the Main Fund Agreement, no Person shall be admitted to the Partnership as an additional Feeder Limited Partner without the prior Consent of the LPAC.

## **ARTICLE XI - PARTNER WITHDRAWAL; REMOVAL OF GENERAL PARTNER**

### **Section 11.1 ERISA Partner and Governmental Plan Partner Withdrawal.**

(a) If the General Partner determines that, or a Feeder Limited Partner that is a “benefit plan investor (within the meaning of Section 3(42) of ERISA) (an “**ERISA Partner**”) notifies the General Partner in writing that, based upon an opinion of ERISA counsel (such opinion being reasonably acceptable to the General Partner and the General Partner’s counsel), there is a material likelihood that the assets of the Partnership would be characterized as or would be deemed to be “plan assets” under the Plan Assets Regulation, then the General Partner shall deliver a notice to such effect to all ERISA Partners. Following delivery of such notice, the General Partner, after consultation with the ERISA Partners, shall identify and implement a course of action that would result in the Partnership’s assets not being characterized as or deemed to be “plan assets.” In that regard, the General Partner, in its sole discretion, may, without limitation, (i) require any ERISA Partner to withdraw from the Partnership if such ERISA Partner has violated any provision of, or made any misrepresentation in connection with, this Agreement or its Subscription Agreement, (ii) permit any ERISA Partner to withdraw without penalty, (iii) allow a Disposition of any ERISA Partner’s interest in the Partnership to a substituted Feeder Limited Partner admitted to the Partnership in accordance with Section 10.1 of the Main Fund Agreement, or (iv) require all ERISA Partners to withdraw on a pro rata basis to their respective Commitments if the reason for such withdrawal is due to the level of participation by ERISA Partners in the Partnership generally, as opposed to the participation of such Feeder Limited Partner specifically. In the event the General Partner determines that there remains a material likelihood that the assets of the Partnership would be characterized as or would be deemed to be “plan assets” on the 90th day following notice to the ERISA Partners, the General Partner shall permit such ERISA Partners to withdraw from the Partnership as of such date (the “**ERISA Withdrawal Date**”) without penalty. Following delivery of such notice to all ERISA Partners, the General Partner shall not treat any ERISA Partner as a Defaulting Partner to the extent that such ERISA Partner thereafter fails to make any Capital Contribution due after the date of such notice and until the date that the General Partner determines there is no longer a material likelihood that the assets of the Partnership would be deemed to be “plan assets.”

(b) Effective upon the ERISA Withdrawal Date, an ERISA Partner that is withdrawing from the Partnership pursuant to subsection (a) above shall cease to be a Feeder Partner of the Partnership for all purposes and, except for its right to receive payment for its interest in the Partnership as hereinafter provided, shall no longer be entitled to the rights of a Feeder Limited Partner under this Agreement, including the right to receive allocations pursuant to Article IV, the right to receive distributions during the term of the Partnership pursuant to Article IV and upon liquidation of the Partnership pursuant to Section 9.3 of the Main Fund Agreement, and the right to vote on Partnership matters as provided in this Agreement. The General Partner shall revise the LP Schedule to reflect the withdrawal of such ERISA Partner as of its ERISA Withdrawal Date and the deletion of its Commitment.

(c) Within 90 days following the ERISA Withdrawal Date, there shall be distributed to an ERISA Partner that is withdrawing from the Partnership pursuant to subsection (a) above, in full payment and satisfaction of its interest in the Partnership, an amount equal to the amount which such ERISA Partner would have been entitled to receive pursuant to Section 9.3 of the Main Fund Agreement if the Partnership had been liquidated on and as of the ERISA Withdrawal Date and all of the Partnership's assets had been sold on such date; provided, however, that the withdrawing ERISA Partner shall have the right to challenge such valuation of any of the Partnership's assets by written notice to the General Partner within 30 days following the ERISA Partner's being advised in writing of such valuation. If the withdrawing ERISA Partner makes a timely written objection to such valuation(s), the challenged valuation(s) shall be determined by a nationally recognized firm of independent certified public accountants or a nationally recognized investment banking firm selected by the General Partner and reasonably acceptable to the withdrawing ERISA Partner. Such Person shall determine the value of the asset or assets in question in accordance with the provisions of Section 9.3 of the Main Fund Agreement, and the determination by such Person shall be binding on all Feeder Partners. Any distribution to the withdrawing ERISA Partner pursuant to this Section 11.1 shall be made in cash, cash equivalents and/or Securities or other investments in Portfolio Companies, with each such separate group of cash, cash equivalents and/or Securities or investments in Portfolio Companies being distributed to the withdrawing ERISA Partner in proportion to such ERISA Partner's relative interest in the Partnership to the extent practicable, unless otherwise required by law or contract; provided, however, that if the General Partner determines that it would be in the best interests of the Partnership and in accordance with applicable law, the Partnership shall be permitted to issue to the withdrawing ERISA Partner a subordinated note evidencing the Partnership's obligation to the ERISA Partner set forth above, which subordinated note shall (i) bear interest at a rate reasonably acceptable to the ERISA Partner, (ii) have a maturity equal to the term of the Partnership, (iii) be prepayable to the extent a return of capital occurs on a Disposition of an investment, and (iv) be subordinated to other debts of the Partnership, but not to Feeder Limited Partner equity.

(d) Upon the withdrawal of any ERISA Partner from the Partnership pursuant to this Section 11.1, the Feeder Partners (including the withdrawing ERISA Partner) shall enter into an amendment to this Agreement reflecting such withdrawal and amending such provisions of this Agreement, including without limitation the provisions regarding allocations and distributions during the term of the Partnership and upon its liquidation, as may be appropriate, so that the intent, spirit, operation and effect of such allocation, distribution and other provisions shall, to the maximum extent possible, be preserved after taking into account the withdrawal of such ERISA Partner.

(e) At any time when the General Partner has determined that there is a material likelihood that the assets of the Partnership may be deemed to be "plan assets" under the Plan Assets Regulation, as to any specified Person, each ERISA Partner shall use reasonable efforts to provide to the General Partner, as soon as possible upon request by the General Partner (which request shall include disclosure of the Person involved), information reasonably requested as to whether such Person is a "party-in-interest" or "disqualified person" (as defined in Section 3(14) of ERISA and Code Section 4975(e)(2), respectively) with respect to such ERISA Partner.

(f) If the General Partner determines that, or a Plan Partner that is a "governmental plan" as defined in Section 3(32) of ERISA (a "**Governmental Plan Partner**") notifies the

General Partner in writing that, based upon an opinion of counsel (such opinion being reasonably acceptable to the General Partner), there is a material likelihood that, as a result of such Governmental Plan Partner continuing as a Feeder Limited Partner, such Governmental Plan Partner, the Partnership, or the General Partner (including its Affiliates) would be in violation of any statute, regulation, rule or governmental policy governing such Governmental Plan Partner, (i) that is enacted, promulgated or, with respect to which, a material change in judicial interpretation occurs, after the date of formation of the Partnership, or (ii) relating to the payment of placement agent fees or similar compensation, then such Governmental Plan Partner may elect to withdraw from the Partnership or cease making Capital Contributions as of such date. In the event of the issuance of the opinion of counsel referred to in the preceding sentence, any withdrawal of and Disposition of such Governmental Plan Partner's interest in the Partnership shall be governed by Section 11.1(b), Section 11.1(c) and Section 11.1(d) hereof, as if such Governmental Plan Partner were an ERISA Partner.

(g) If, as a consequence of any withdrawal of any ERISA Partner from the Partnership pursuant to the provisions of this Section 11.1, any Feeder Limited Partner which is a private foundation (within the meaning of Section 509(a) of the Code) will become liable for any additional taxes or penalties under Section 4943 of the Code because of "excess business holdings", such Feeder Limited Partner will have the same rights to withdraw from the Partnership as any ERISA Partner, and the provisions of this Section 11.1 shall apply to such Feeder Limited Partner mutatis mutandis.

## **Section 11.2 Removal of General Partner.**

(a) If an election is made to remove the General Partner as the general partner of the Main Fund pursuant to Section 11.4 of the Main Fund Agreement, the General Partner shall also be removed as the general partner of the Partnership and the Replacement GP shall be admitted as the general partner of the Partnership as of the Removal Date.

(b) If the General Partner is removed pursuant to this Section 11.2:

(i) the Replacement GP shall promptly prepare and file or cause to be filed, with the assistance of the Removed GP, if and to the extent reasonably requested, an amendment to the Partnership's Certificate filed with the Secretary of State of the State of Delaware and any other similar public filings and an amendment to this Agreement, without any further action, approval or vote of any Feeder Partner, to reflect (A) the admission of the Replacement GP as the general partner of the Partnership, (B) the withdrawal of the Removed GP as the general partner of the Partnership and (C) the change of the name of the Partnership so that it does not include the word "EnCap" or any variation thereof, including any name to which the name of the Partnership may have been changed;

(ii) on and after the Removal Date, the Removed GP's duties and obligations under this Agreement shall cease and be of no further force and effect; and

(iii) the Removed GP and its Affiliates shall continue to be Covered Persons and entitled to indemnification under this Agreement pursuant to Section 5.4, but only with respect to acts or omissions (A) relating to Portfolio Investments made prior to the Removal

Date or (B) arising out of or relating to their activities during the period prior to the Removal Date as the general partner of the Partnership or otherwise arising out of the Removed GP's service as general partner of the Partnership.

(c) On and after the Removal Date, in no event may the Feeder Partners of the Partnership amend the terms of Section 11.2(b) or this Section 11.2(c) without the prior written consent of the Removed GP.

## ARTICLE XII - AMENDMENTS

### Section 12.1 Amendments.

(a) The General Partner shall be authorized to amend this Agreement, without the approval of any Feeder Partner, to conform this Agreement with amendments to the Main Fund Agreement that have been approved pursuant to the applicable provisions of the Main Fund Agreement. Amendments to this Agreement may also be proposed (i) by the General Partner, or (ii) by those Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages equal or exceed 33 1/3%. Any such amendment must be proposed by submitting to all Feeder Partners in writing the proposed amendment. Subject to Section 12.1(b) through (f), any such amendment shall be approved only upon (and at the time of receipt of) the affirmative vote or written Consent of the Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages equal or exceed 66 2/3%.

(b) Amendments to this Agreement that are of an inconsequential nature, or are necessary to comply with any applicable law or governmental regulation, or are necessary in the opinion of counsel to the Partnership to ensure that the Partnership will not be treated as an association taxable as a corporation for U.S. federal income tax purposes, or are required or contemplated by this Agreement, may be made by the General Partner without the Consent of any Feeder Limited Partner; provided, however, that any such amendment that would adversely affect any Feeder Limited Partner may be made only with the approval of such adversely affected Feeder Limited Partner. The General Partner shall provide each Feeder Limited Partner with a copy of any amendment made by the General Partner pursuant to this Section 12.1(b) and each Feeder Limited Partner shall have 10 Business Days after receipt of such amendment to notify the General Partner that it does not in good faith believe such amendment is permitted to be made by the General Partner under this Section 12.1(b). If the General Partner receives notices from Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages exceed 20% pursuant to the immediately preceding sentence, the General Partner shall thereupon submit the amendment in question to the Investor Feeder Limited Partners for a vote under this Agreement.

(c) No amendment:

(i) which (A) increases the obligation of any Feeder Limited Partner to make Capital Contributions to the Partnership, (B) reduces any Feeder Limited Partner's share of distributions, (C) increases the Management Fee payable by a Feeder Limited Partner, or (D) otherwise adversely affects a Feeder Limited Partner's limited liability for the debts, liabilities, contracts or other obligations of the Partnership shall be made without the Consent of such Feeder Limited Partner;

(ii) which in the opinion of counsel to the Partnership, would cause the Partnership to be treated as an association taxable as a corporation for U.S. federal income tax purposes shall be made without the approval of all Feeder Limited Partners; provided, that any amendment which is made to facilitate a merger or consolidation of the Partnership with any partnership or other entity, to convert the Partnership into another entity, or combination with any partnership or other entity, shall require the approval only of the General Partner and those Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages equal or exceed 66 2/3%, if each of the material terms and provisions of such merger, consolidation, conversion, exchange or combination provides for equal and/or proportionate relative treatment of each of the Feeder Limited Partners; and

(iii) to provisions of this Agreement that are specific to ERISA Partners, Governmental Plan Partners or Plan Partners only that are Feeder Limited Partners shall be made without the approval of 90% in interest of ERISA Partners, Governmental Plan Partners or Plan Partners, as applicable, that are Feeder Limited Partners.

(d) The General Partner shall be authorized to amend this Agreement, without the approval of any Feeder Partner, to comply with or administer in an equitable manner the provisions of the Bipartisan Budget Act and any Treasury Regulations or other administrative pronouncements promulgated thereunder in any manner determined by the General Partner as determined by the General Partner, in its sole discretion, provided that such amendment does not adversely affect the interest of any Feeder Limited Partner.

(e) The General Partner shall be authorized to make any other amendment to this Agreement in connection with any Subsequent Closing, provided that (i) such amendment is not adverse to the Feeder Limited Partners and (ii) such amendment is not objected to by the Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages exceed 20% within 10 Business Days of being given written notice thereof.

(f) No provision of this Agreement which establishes a percentage of the Feeder Limited Partners required to take any action shall be amended, altered, changed, repealed or rescinded in any respect which would have the effect of reducing such voting requirement, unless such is approved by written Consent or the affirmative vote of the General Partner and those Investor Feeder Limited Partners whose aggregate Investor Feeder LP Percentages constitute not less than the Investor Feeder Limited Partner voting requirements sought to be reduced. This Section 12.1(f) shall only be amended with the approval of all of the Feeder Partners.

(g) The General Partner shall promptly (i) notify the Feeder Limited Partners of any proposed amendments to this Agreement, any amendments to this Agreement that have been adopted, and any other actions that have been approved pursuant to this Section 12.1, and (ii) provide the Feeder Limited Partners with copies of any proposed or adopted amendments referenced in Section 12.1(g)(i).

(h) No amendment which alters the definitions of BHCA Interest, BHCA Limited Partner or which would otherwise alter the provisions of this Agreement and would materially and adversely affect any BHCA Limited Partner that is a Feeder Limited Partner's interest in a manner

that does not similarly materially and adversely affect the other Feeder Limited Partners generally shall be made without the Consent of two-thirds in interest of the BHCA Limited Partners that are Feeder Limited Partners admitted to the Partnership.

### ARTICLE XIII - MISCELLANEOUS

**Section 13.1 Notices.** All notices, demands, requests, or other communications required or permitted to be given pursuant to this Agreement shall be in writing and shall be given either (a) by hand delivery, (b) by United States mail, certified or registered, return receipt requested, postage prepaid, (c) by electronic facsimile, (d) by Electronic Transmission or (e) by overnight courier service (charges prepaid) with proof of delivery. Each Feeder Limited Partner's address for notices and other communications hereunder shall be that specified by such Feeder Limited Partner on its signature page to the agreement pursuant to which it subscribes for limited partnership interests in the Partnership. The General Partner's and the Partnership's respective address for notices or other communications hereunder shall be that set forth in Section 1.4(a). Each Feeder Limited Partner may change its address for notices and communications by giving notice in writing, stating its new address for notices, to the General Partner in accordance with this Section 13.1, and the General Partner or the Partnership may change its address for notice and communication by giving such notice to the Feeder Limited Partners in accordance with this Section 13.1. Notices sent by hand delivery shall be deemed to have been given when received; notices mailed in accordance with the foregoing shall be deemed to have been given five Business Days following the date mailed; notice sent by electronic facsimile shall be deemed given on the first Business Day after electronically confirmed; notice sent by Electronic Transmission shall be deemed to have been given on the date sent; and notices sent by overnight courier service shall be deemed to have been given on the next Business Day following the date so sent.

**Section 13.2 Partition.** Each of the Feeder Partners hereby irrevocably waives for the term of the Partnership any right that such Feeder Partner may have to maintain any action for partition with respect to the Partnership property.

**Section 13.3 Entire Agreement.** This Agreement, each Feeder Limited Partner's Subscription Agreement and any Side Letters entered into with any Feeder Limited Partner constitute the full and complete agreement of the respective parties with respect to the subject matter hereof and supersede and replace any description or summary of terms contained in the offering materials or other writings provided to prospective investors in the Partnership or any discussions concerning the subject matter hereof.

**Section 13.4 Severability.** If any provision of this Agreement is held to be unenforceable, this Agreement shall be considered divisible and such provision shall be deemed inoperative to the extent it is deemed unenforceable, and in all other respects this Agreement shall remain in full force and effect; provided, however, that if any such provision may be made enforceable by limitation thereof, then such provision shall be deemed to be so limited and shall be enforceable to the maximum extent permitted by applicable law.

**Section 13.5 No Waiver.** The failure of any Feeder Partner to insist upon strict performance of a covenant hereunder or of any obligation hereunder, irrespective of the length of time for which such failure continues, shall not be a waiver of such Feeder Partner's right to



demand strict compliance in the future. No Consent or waiver, express or implied, to or of any breach or default in the performance of any obligation hereunder shall constitute a Consent or waiver to or of any other breach or default in the performance of the same or any other obligation hereunder.

**Section 13.6 Applicable Law; Jurisdiction; Waiver of Jury.**

(a) This Agreement, all questions concerning the construction, interpretation and validity of this Agreement, the rights and obligations of the parties hereunder, all claims or causes of action that may be based upon, arise out of or related to this Agreement (whether arising in contract, tort or otherwise) and the negotiation, execution or performance of this Agreement (including, without limitation, any claim or cause of action based upon or arising out of or related to any representation or warranty made in or in connection with this Agreement or as an inducement to enter this Agreement) shall be governed by and construed and enforced in accordance with the laws of the State of Delaware applicable to agreements made and to be performed wholly within that jurisdiction, but not including the choice of law rules thereof.

(b) To the fullest extent permitted by applicable law, any action or proceeding against the parties relating in any way to this Agreement may be brought and enforced in the courts of the State of Delaware or the United States District Court for the District of Delaware, and the parties irrevocably submit to the jurisdiction of both such courts in respect of any such action or proceeding. The parties irrevocably waive, to the fullest extent permitted by law, any objection that they may now or hereafter have to the laying of venue of any such action or proceeding in the courts of the State of Delaware or the United States District Court for the District of Delaware and any claim that any such action or proceeding brought in any such court has been brought in any inconvenient forum.

(c) To the extent not prohibited by applicable law that cannot be waived, each Feeder Partner waives, and covenants that such Feeder Partner shall not assert (whether as plaintiff, defendant or otherwise), any right to trial by jury in any forum in respect of any issue, claim or proceeding arising out of this Agreement or the subject matter hereof or in any way connected with the dealings of any Feeder Partner or the Partnership or any of its Affiliates in connection with any representation, warranty, covenant or agreement contained in this Agreement or any transaction contemplated by this Agreement, in each case whether now existing or hereafter arising and whether in contract, tort or otherwise. The Partnership or any Feeder Partner may file an original counterpart or a copy of this Section 13.6 with any court in any jurisdiction as written evidence of the Consent of the Feeder Partners to the waiver of their respective rights to trial by jury.

(d) Notwithstanding Section 13.6(b) or (c), a Feeder Limited Partner that is a Governmental Plan Partner or other governmental entity or supranational organization and has provided the General Partner, prior to the closing on which such Feeder Limited Partner was admitted to the Partnership, with a certificate of an officer of its plan administrator or other writing reasonably acceptable to the General Partner stating that such an irrevocable submission to jurisdiction or waiver of objection to venue or right to trial by jury, as the case may be, would constitute a violation of applicable law, regulation or established policy, shall not be deemed to have made such an irrevocable submission or waiver, as the case may be.

**Section 13.7 Successors and Assigns.** This Agreement shall be binding upon and inure to the benefit of the parties hereto and their respective heirs, legal representatives, successors and assigns; provided, however, that no Feeder Partner may sell, assign, transfer or otherwise Dispose of all or any part of its rights or interest in the Partnership or under this Agreement except in accordance with Article X or Article XI.

**Section 13.8 Attorneys' Fees.** Each Feeder Limited Partner shall pay its own attorneys' fees or expenses incurred by it in connection with the negotiation, execution and delivery of this Agreement.

**Section 13.9 No Third-Party Beneficiaries.** Except as expressly and specifically provided in Section 5.4, and except for the rights granted to the Feeder Limited Partners hereunder, which rights shall be enforceable by the Feeder Limited Partners, nothing in this Agreement, either express or implied, is intended to or shall confer upon any Person other than the parties hereto, and their respective successors and permitted assigns, any rights, benefits or remedies of any nature whatsoever under or by reason of this Agreement.

**Section 13.10 Counterparts.** This Agreement may be executed in one or more counterparts, each of which shall be an original and all of which shall constitute but one and the same document.

**Section 13.11 Representations and Warranties of the General Partner.** The General Partner represents, warrants and covenants to the other Feeder Partners on the Initial Closing Date, and as of the date of each subsequent admission of Feeder Limited Partners pursuant to and in accordance with Section 10.1, that:

(a) The Partnership is a limited partnership duly organized, validly existing and in good standing under the laws of the State of Delaware.

(b) The General Partner is a limited partnership duly organized, validly existing and in good standing under the laws of the State of Delaware.

(c) The General Partner has the requisite power and authority to execute and deliver this Agreement, any Side Letters and any Subscription Agreements and to perform its obligations hereunder and thereunder.

(d) The execution, delivery and performance by the General Partner of this Agreement, any Side Letters and any Subscription Agreements have been duly and validly authorized, and no other action is required to be taken to authorize such execution, delivery and performance.

(e) The execution, delivery and performance by the General Partner of this Agreement are within the powers of the General Partner and will not be in contravention of or result in any breach or constitute a default under any applicable law, rule or regulation or any loan, note or other agreement or instrument to which the General Partner is a party or by which it or any of its properties are bound.

(f) This Agreement has been duly and validly executed and is binding and enforceable as against the General Partner.

(g) Except for a change of law over which the General Partner has no control (and the General Partner shall immediately notify the other Feeder Partners when the General Partner learns of such occurrence), the foregoing representations, warranties and covenants shall remain true and accurate during the term of the Partnership, and the General Partner shall neither take action nor permit action to be taken which would cause any of the foregoing representations to become untrue or inaccurate.

(h) The execution, delivery and performance by each of the General Partner and the Partnership of any Side Letters or any Subscription Agreements are within the powers of the General Partner and the Partnership, as applicable, and will not be in contravention of or result in any breach or constitute a default under any applicable law, rule or regulation or any loan, note or other agreement or instrument to which the General Partner or the Partnership is a party or by which it or any of its properties are bound.

(i) Any Side Letters and Subscription Agreements (once accepted and signed by the General Partner, the Partnership, as applicable) will be duly and validly executed and will be binding and enforceable against the General Partner and the Partnership, as applicable.

(j) No Consent, approval, authorization or order of any court or governmental agency or authority or of any third party which has not been obtained is required in connection with the execution, delivery and performance by the General Partner of this Agreement or the execution, delivery and performance by the General Partner or the Partnership of any Side Letter or any Subscription Agreement.

(k) No fee, bonus, or other compensation has been paid by or on behalf of the General Partner or the Partnership, or any Affiliate of either of them, to any placement agent, finder or other Person in connection with any Feeder Limited Partner's investment in the Partnership. No fee, bonus or other compensation of any kind or value has been paid or given by the General Partner or the Partnership, or any Affiliate of either of them, to any member of the governing body, or any officer, employee, consultant or advisor, of any Feeder Limited Partner or any Affiliate of a Feeder Limited Partner for the purpose, or with the effect, of obtaining (i) an introduction to the Feeder Limited Partner, any member of its governing body or any of its officers, employees, consultants or advisors or (ii) a favorable recommendation with respect to an investment in the Partnership.

**Section 13.12 Survival of Representations and Warranties.** All representations, warranties and covenants made by the Feeder Partners in this Agreement or any other document contemplated hereby shall be considered to have been relied upon by the other parties hereto and shall survive the execution and delivery of this Agreement, or such other document, regardless of any investigation made by or on behalf of any such party.

**Section 13.13 Compliance with Anti-Money Laundering Requirements.** The General Partner shall be authorized without the Consent of any Person, including any other Feeder Partner, to take such action as it reasonably determines to be necessary or advisable to comply, or to cause the Partnership to comply, with any anti-money laundering or anti-terrorist laws, rules, regulations, directives or special measures.

**Section 13.14 Fund Counsel.** Vinson & Elkins LLP and any other law firm retained by the General Partner in connection with the organization of the Partnership and the Main Fund, the offering of interests in the Partnership and the Main Fund, the management and operation of the Partnership and the Main Fund, or any dispute between the General Partner and any Feeder Limited Partner, is acting as counsel to the General Partner and as such does not represent or owe any duty to such Feeder Limited Partner or to the Feeder Limited Partners as a group; provided, however, that the foregoing shall not constitute a waiver by a Feeder Limited Partner of any conflicts of interest in connection with any dispute arising between the Partnership, the General Partner or any of its Affiliates, on the one hand, and the Feeder Limited Partner or the Feeder Limited Partner and all or a portion of the Feeder Limited Partners, on the other hand, that may hereafter arise in connection with the management and operation of the Partnership.

**Section 13.15 Closing Documents.** The General Partner shall deliver to each Feeder Limited Partner (by Electronic Transmission, unless otherwise requested by a Feeder Limited Partner), within 30 Business Days after the Final Closing Date with respect to the Partnership, a copy of this Agreement, the Clawback Guaranty, such Feeder Limited Partner's Subscription Agreement and any Side Letter entered into by such Feeder Limited Partner, each executed by the General Partner, and any legal opinion issued by counsel to the Partnership with respect to the Partnership in connection with any closing in which such Feeder Limited Partner participates.

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IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the date and year first above written.

**GENERAL PARTNER:**

ENCAP EQUITY FUND XII GP, L.P.

By: EnCap Equity Fund XII GP, LLC, its  
general partner

By: EnCap Investments L.P., its sole member

By: EnCap Investments GP, L.L.C., its general  
partner

By: EnCap Investments Holdings, LLC, its sole  
member

By: EnCap Partners, LP, its managing member

By: EnCap Partners GP, LLC, its general partner

By: Jason DeLorenzo  
Name: Jason M. DeLorenzo  
Title: Managing Member

**INITIAL LIMITED PARTNER:**

Jason DeLorenzo  
Jason M. DeLorenzo

SIGNATURE PAGE TO  
AMENDED AND RESTATED  
AGREEMENT OF LIMITED PARTNERSHIP  
ENCAP ENERGY CAPITAL FUND XII-B, L.P.